MUELLER INDUSTRIES

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Industrials Sector Presentation

October 2024

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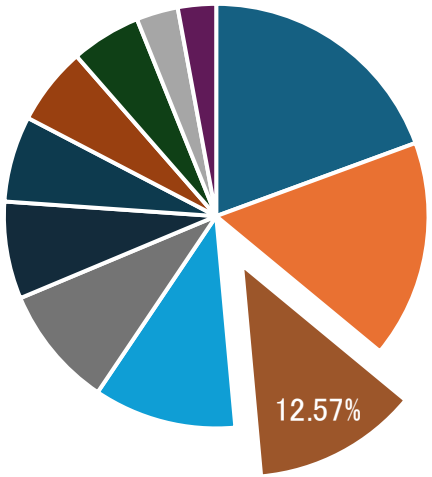
Industrials Sector Overview

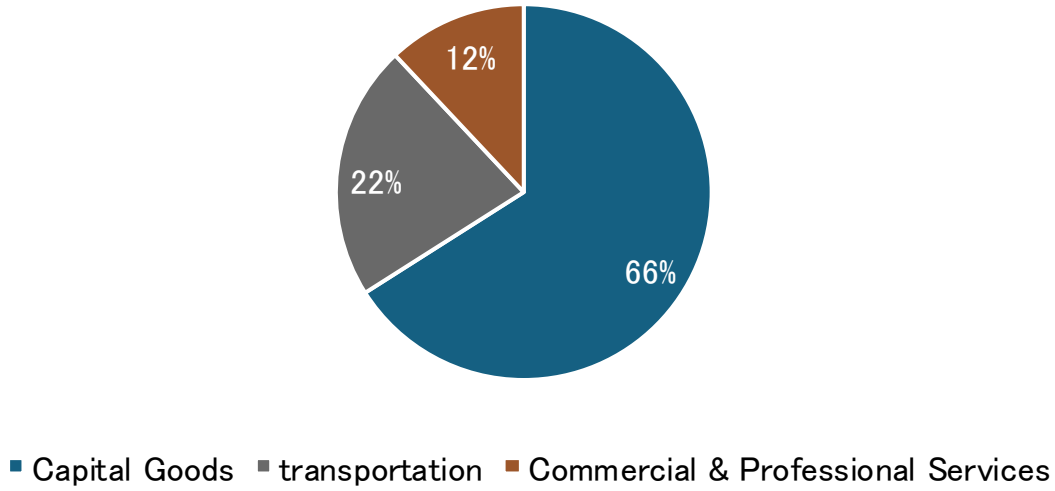
Sector Overview

Business and Professional Services	Transportation	Capital Goods
Commercial Services Commercial Supplies Professional Services	Air Freight Logistics Passenger Airlines Marine Transportation Transportation Infrastructure	Aerospace & Defense Building Products Construction and Engineering Electrical Equipment Industrial Conglomerates Machinery Trading Companies

GICS Sectors Weightings



Industrials Subsectors Weighting



Source: Bloomberg

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Current Holdings

Current Holding Performance

Company Overviews

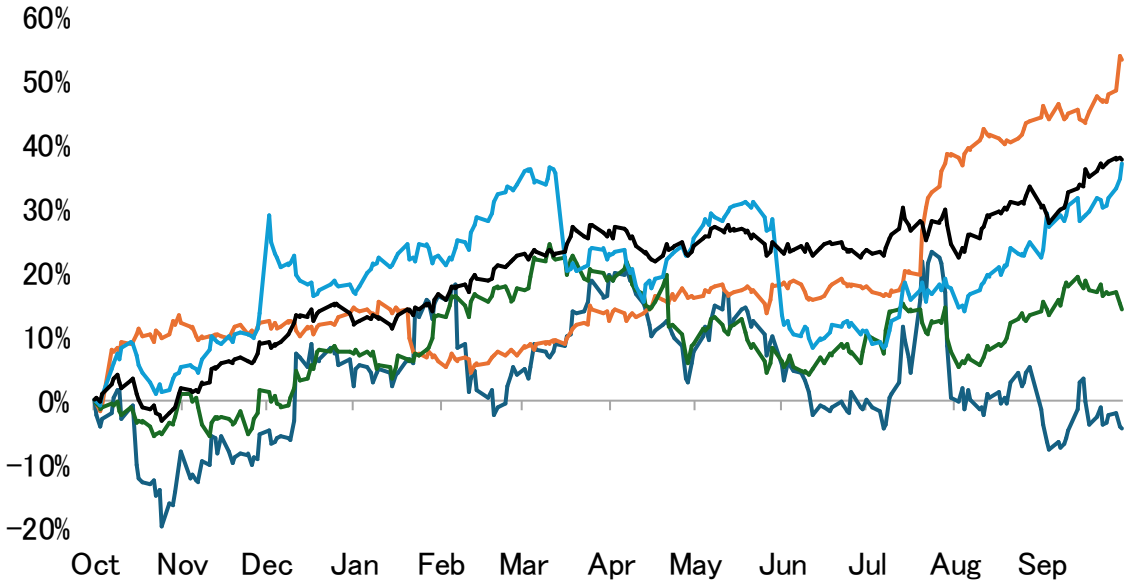
Lockheed Martin
LMT
Subsector: Capital Goods
Industry: Aerospace and Defense
Last Px: 604.17
Purchase Price: $328.88
Return % : +83%

Science Application International
SAIC
Subsector: Business & Professional Services
Industry: Research and Consulting Services
Last Px: 144.50
Purchase Price: 104.89
Return %: +36.49%

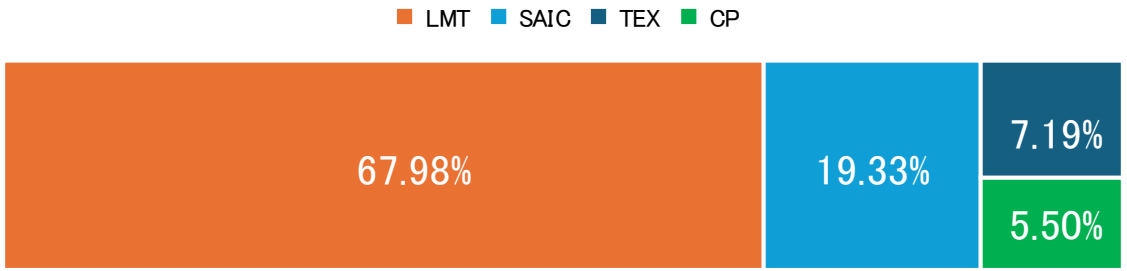
Terex
TEX
Subsector: Capital Goods
Industry: Heavy Machinery
Last Px: 55.48
Purchase Price: 63.44
Return %: −16%

Canadian Pacific Kansas City
CP
Subsector: Transportation
Industry: Rail Transportation
Last Px: 82.06
Purchase Price: 78.17
Return %: +3.12%

Holding Return % (LTM)



Security Weighting % (Industrials Portfolio)



Note: holding return chart created 10-06-2024

Investment Thesis

Key Guidelines When Screening the Industrials Sector

Manufacturing

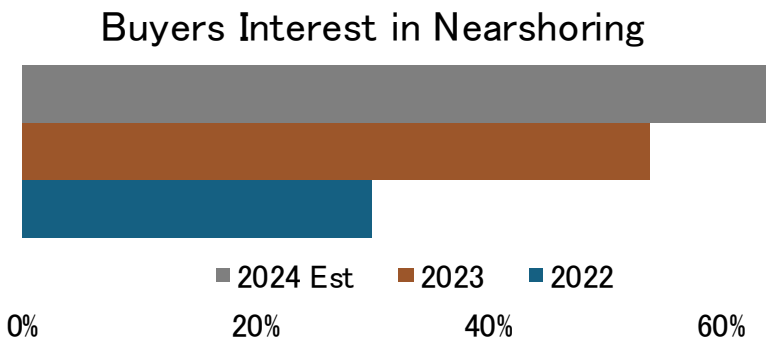
- **Lower borrowing costs:**
Borrowing becoming cheaper, can lead to increased capital investment in manufacturing infrastructure, technology upgrades, and expansion projects.

- **Cyclical sector rebound:**
Manufacturing is often cyclical, and a rate cut cycle typically signals an effort to stimulate the economy, leading to a rebound to an already down manufacturing sector.

Primarily U.S Revenue Segmentation

- **Government policies and incentives:**
Legislative support for domestic manufacturing, such as tax incentives, subsidies, and infrastructure investments, will encourage expansion in the sector.

- **Nearshoring trends:**
U.S. manufacturing is benefiting from nearshoring as companies move production closer to the U.S., reducing supply chain risks and costs.



High Operational Efficiency

- **Lower Costs and Higher Profit Margins:**
Operational efficiency reduces waste, minimizes delays, and streamlines processes, all of which lead to lower production costs.

- **Largest Economic Moat:**
Operational efficiency acts as a moat in manufacturing because it touches every aspect of production, from cost structure and supply chain management to flexibility and quality control.

Source: QIMA Nearshoring and Reshoring

Investment Thesis

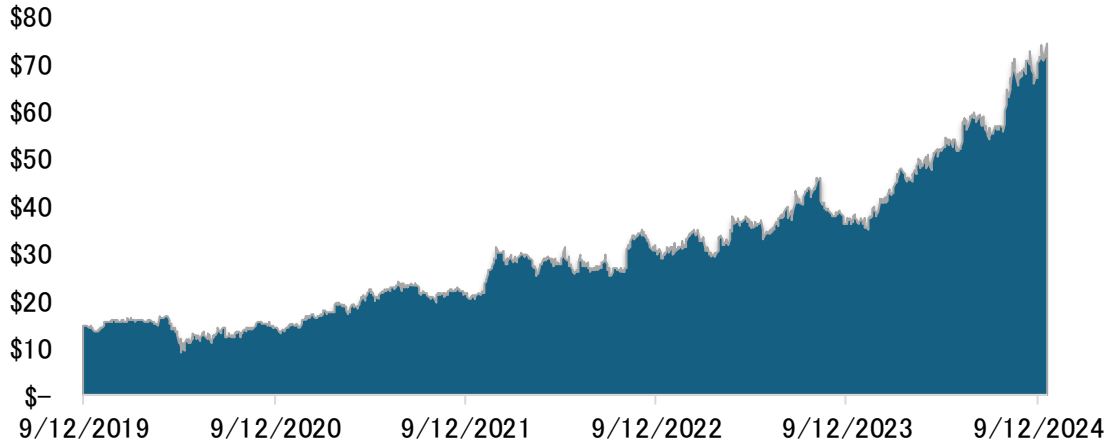
Company Overview

Company Overview

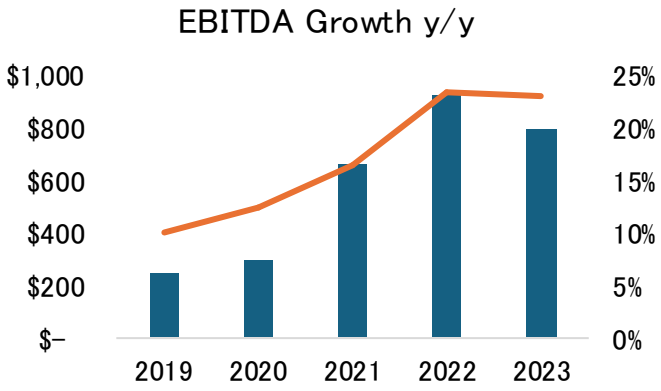
Mueller Industries, Inc. manufactures and sells brass, copper, and aluminum products.

- Industry: Metal Fabrication
- Market Cap: 8,270.4M
- Shares Outstanding: 113M
- Last Px: $72.84
- Beta vs SPX: 0.94

Price History

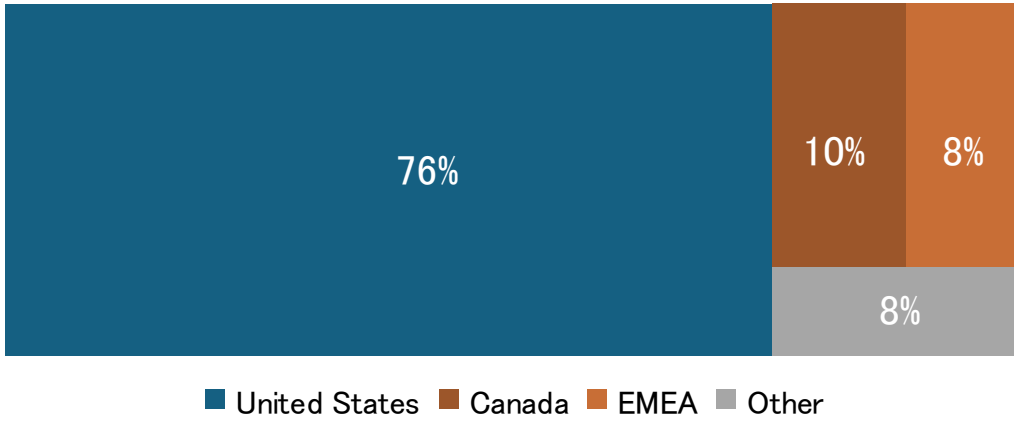


Key Financials



- Average EBITDA Growth Past 5 Years: 42.44%
- ROE: 23.6%
- ROC: 28.85
- P/E: 14.75
- EPS: 4.57

Revenue Segmentation by Region



Source: Bloomberg Terminal; Company Filings: 10K

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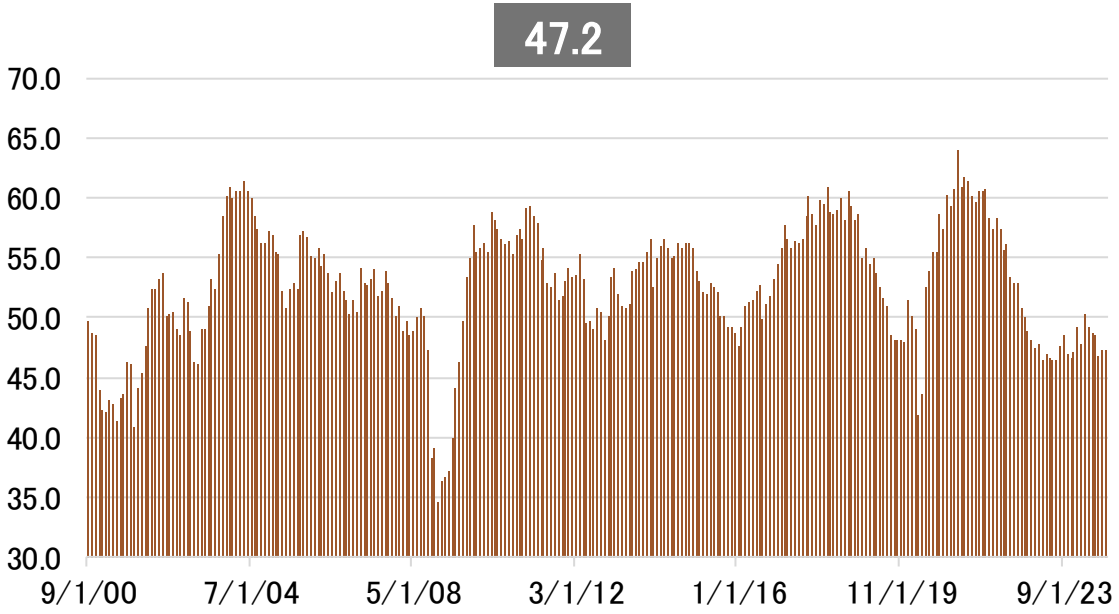
Industry Overview

Cycles of Manufacturing

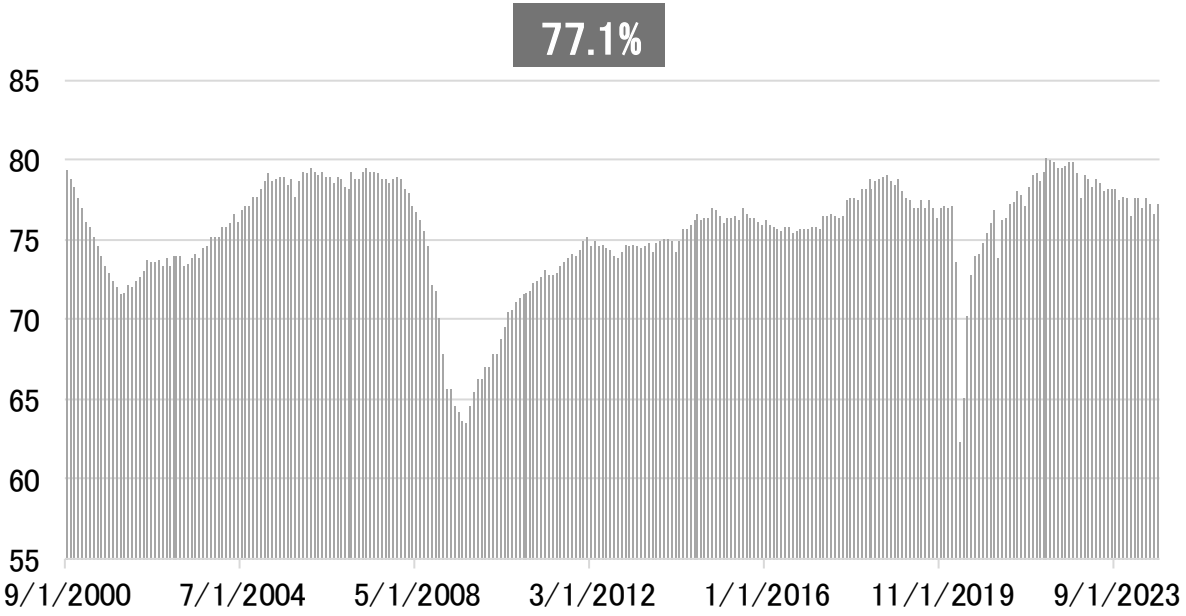
Purchasing Managers Index (PMI)

- The Purchasing Managers Index measures the overall health of the manufacturing industry
- Any number under 50 shows contraction in the industry
- Has been under 50 for 21 months excluding April 2023
- The overall graph reflects the cyclicality of the manufacturing industry



Capacity Utilization Rate (Manufacturing)

- Capacity Utilization metrics show us how efficiently firms are using their production capacity
- While 85-100% is ideal, we have not hit these ranges since before 2000
- We are near the lowest point since COVID
- Good indicator to take advantage of the eventual up-turn

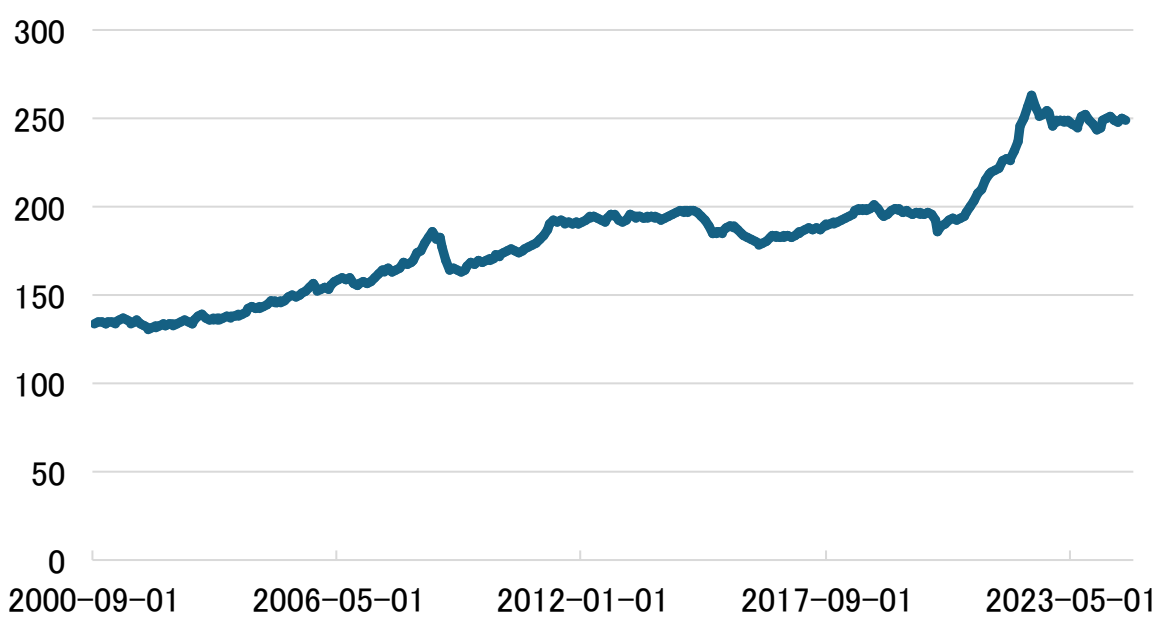


Source: Bloomberg Terminals; FRED Economic Data

Industry Overview

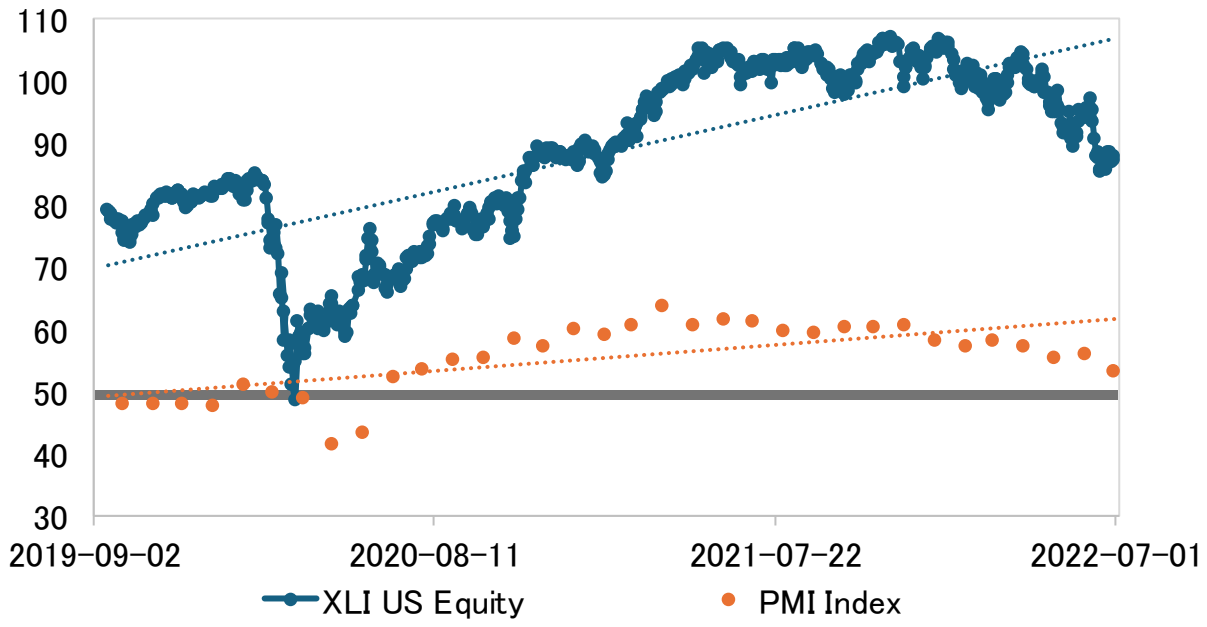
Historical Manufacturing Data

Producer Price Index: Total Manufacturing



- Tracks the price changes from the perspective of manufacturers, rather than consumers.
- Used to gauge inflationary pressure in the production process.
- Recent PPI values have plateaued, reflecting a slow down in manufacturing.

High PMI and a Successful Manufacturing Market



- The blue line represents the price of the Industrials SPDR ETF during a period of high growth
- The orange dots represent the PMI value m/m
- The trend lines show the relation of between the two lines during a low-interest rate environment, causing a significant boost in the manufacturing industry

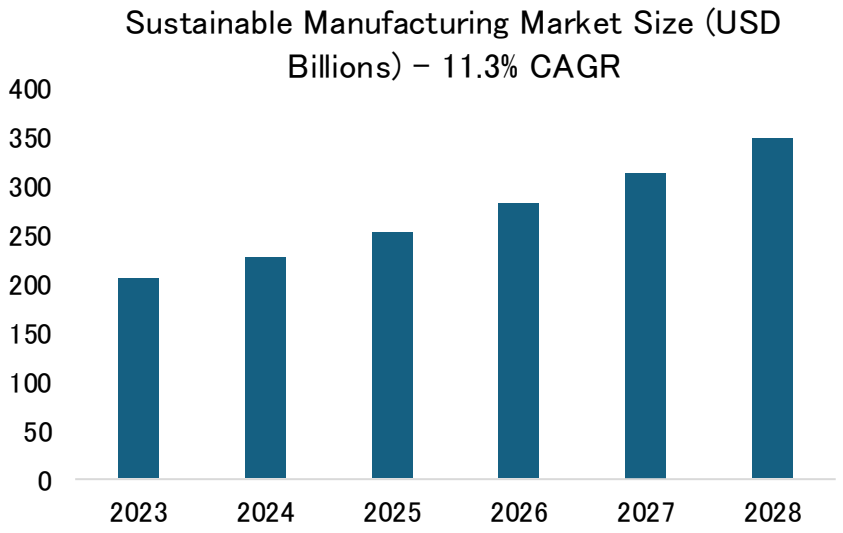
Source: Bloomberg Terminals; FRED Economic Data ; Note: Baseline PPI is 100

Industry Overview

Product Segments Market Outlook

Sustainable Manufacturing

With a push toward renewable energy, there is significant demand for products like copper wiring, aluminum components, and related infrastructure. Mueller's offerings in electrical fittings and copper tubing align well with the increasing need for energy-efficient systems

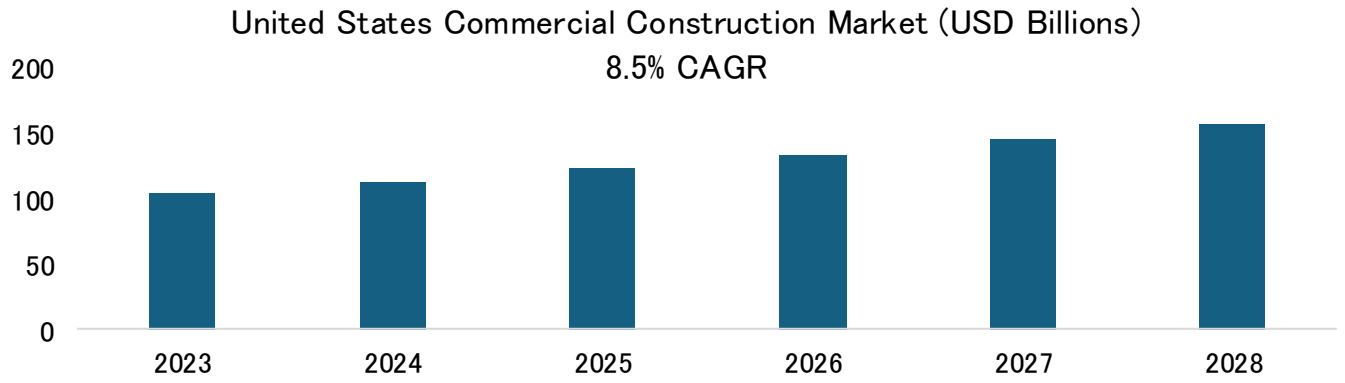


Residential HVAC

The HVAC market is expected to grow due to rising demand for energy-efficient systems in residential, commercial, and industrial buildings. Mueller's copper and aluminum products are critical components in heating, ventilation, air conditioning, and refrigeration (HVACR) systems.

Commercial Plumbing and Metals

Driven by government infrastructure spending and commercial projects due to recent events, the commercial sector will see significant growth.

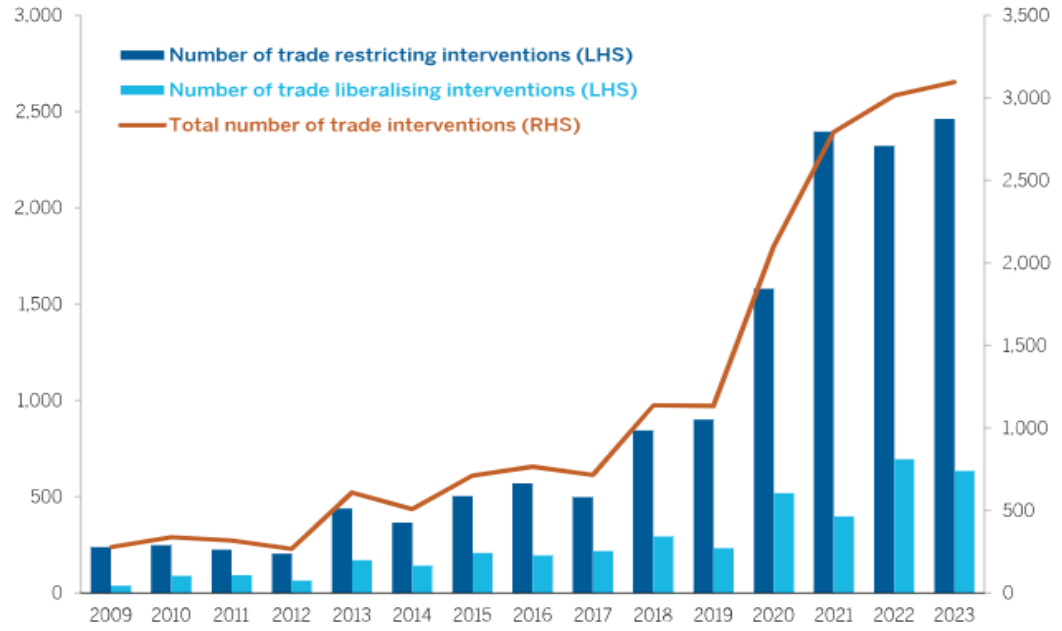


Source: Verified Market Research; ReportsnReports

Industry Overview

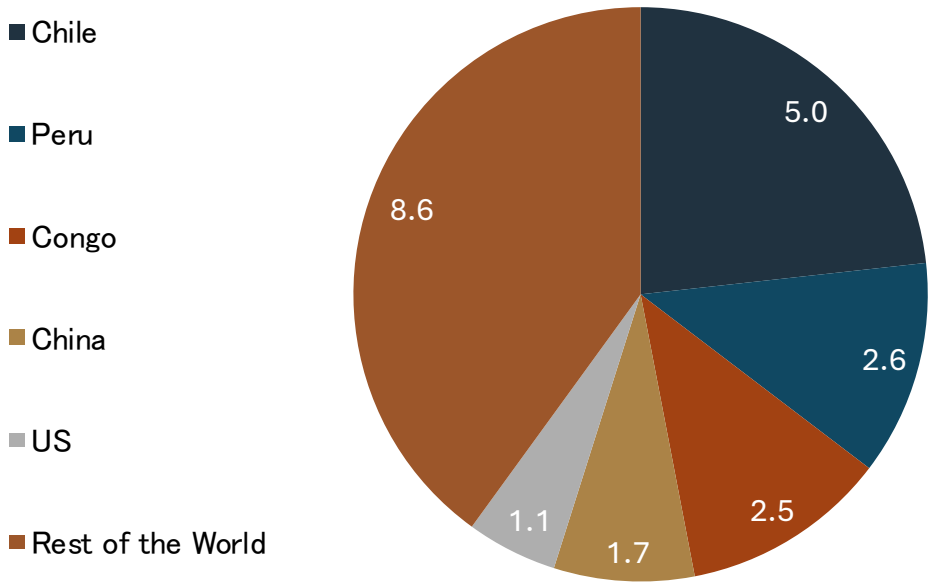
Trade Restrictions Currently Affecting the Manufacturing Sector

Global Trade Restrictions



- Recent global trade restrictions have been driven by several factors, which can be grouped into political, economic, and strategic motivations
- This can cause trouble for many manufacturers that rely on open trade policies,
- This further outlines the shift in domestic and nearshoring production.

World Production of Copper (In Million Tonnes)



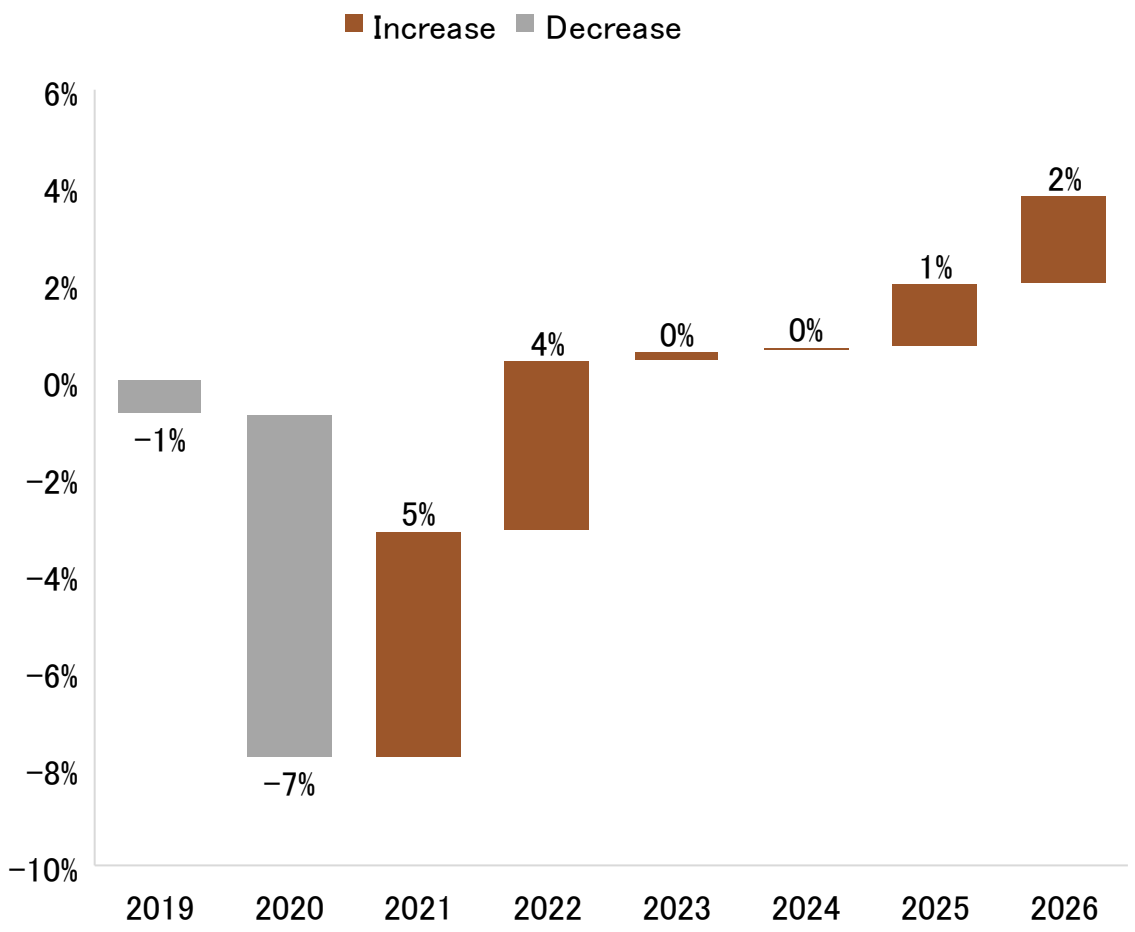
- Chile and Peru account for one-third of the world's copper output.
- This is not great for a country with rising tensions against the largest exporters of copper.
- Manufacturing companies in the U.S will not experience this problem as the U.S has had open trade with Chile, Peru, and the Congo since 2006.

Source: Wellington Management; Voronoi: Natural Resources; Visualcapitalist

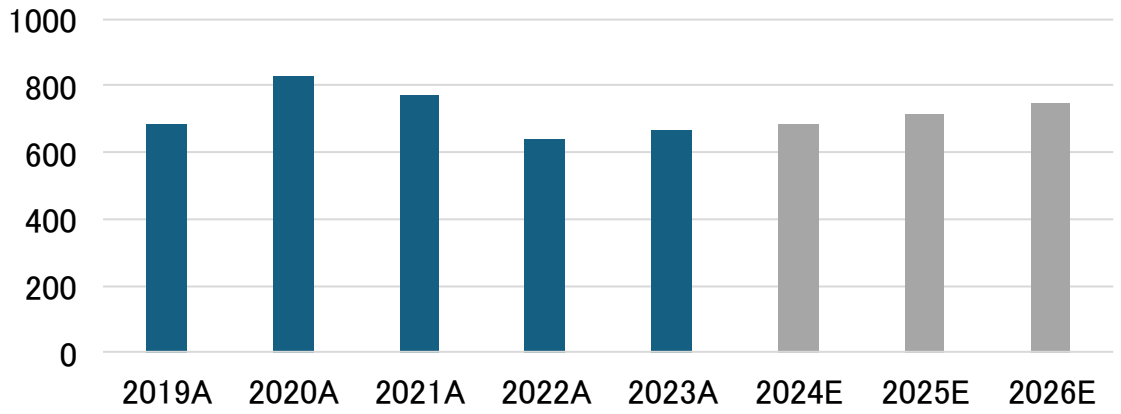
Industry Overview

Economic forecast relating to Mueller's potential growth

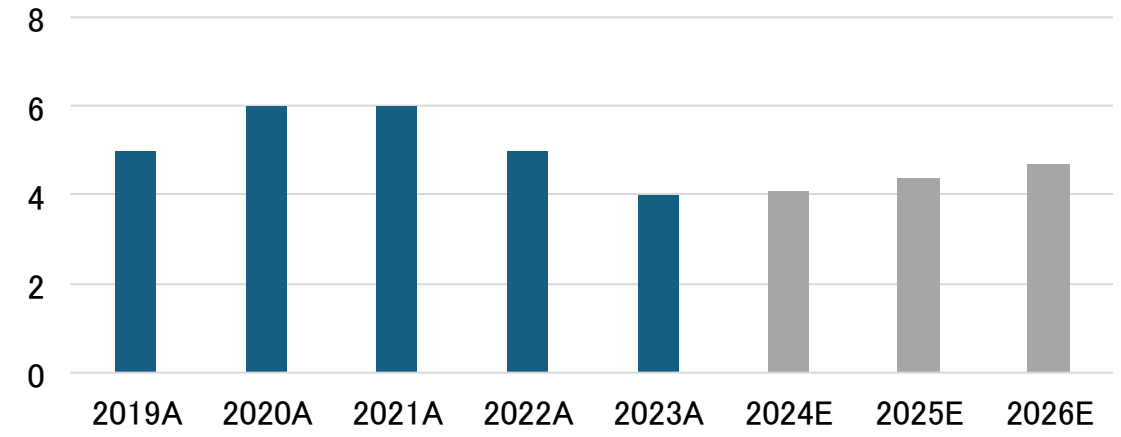
Industrial Production y/y (%)



New Home Sales (In Thousands)



Existing Home Sales (In Millions)



Source: Bloomberg Terminals; Note: Figures from Analyst Forecasts

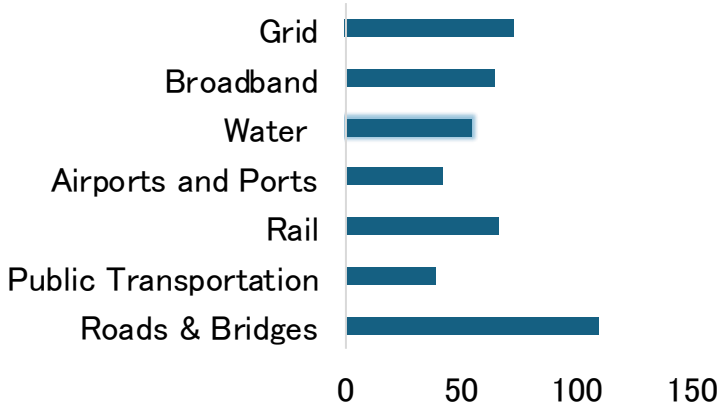
Industry Overview

Current Events Affecting Manufacturing

Bipartisan Bill

Bipartisan Infrastructure Law – Nov. 6, 2021

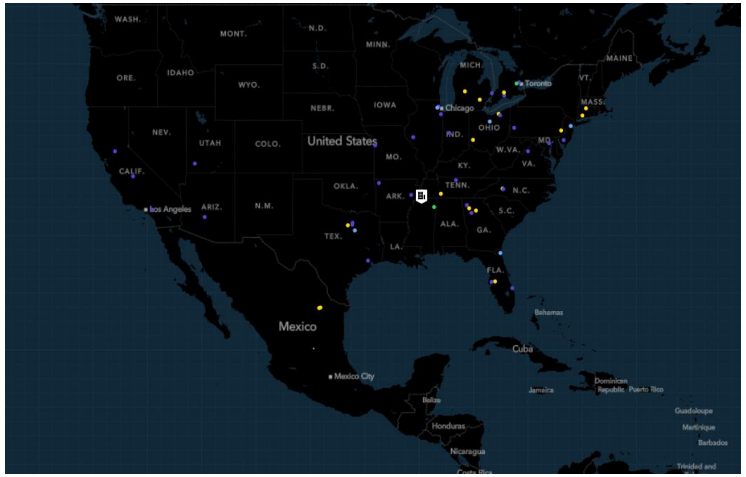
The Biden Administration's Bipartisan Infrastructure act will invest into transportation, power grid, broadband, water, and other related infrastructure. The Deal will invest $55 billion to expand access to clean drinking water for households, businesses, schools, and childcare centers all-across the country.



Replacement of Lead Pipes

Biden Administration Issues Final Rule to Replace all Lead Pipes – Oct. 8, 2024

The Biden Administration's rule to replace lead pipes will boost pipe manufacturing by increasing demand for copper plumbing materials. The initiative drives infrastructure investment, leading to more projects that require copper, while potential supply constraints may further elevate prices.



Recent Hurricanes Affecting the East

Hurricanes Increasing Demand for Repair and Replacement – Sep. 27, 2024

Following a hurricane, government funding for disaster relief often includes allocations for rebuilding efforts, which accelerates orders for new pipes. Additionally, there may be a shift toward more durable materials, driving further demand in the manufacturing sector.

Source: Bloomberg; Whitehouse.gov; ForconstructionPROS.com; CJE Financial; Note: Chart in Millions

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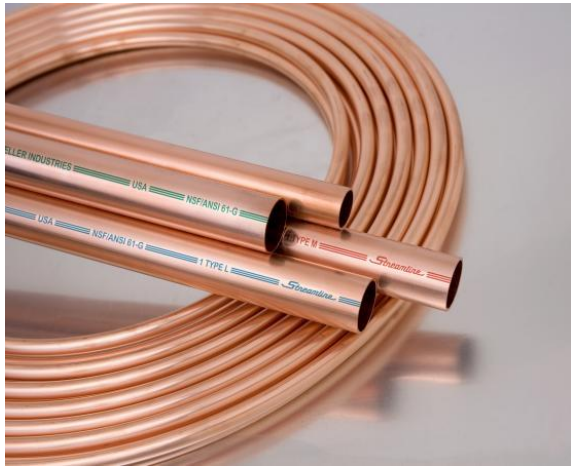
Business Overview

Product Segments

Pipping Systems

Products: Tubing, piping, connections, and plumbing products

- **Markets Served:** Residential and Commercial buildings
- **2023 Revenue:** $2,382 Million

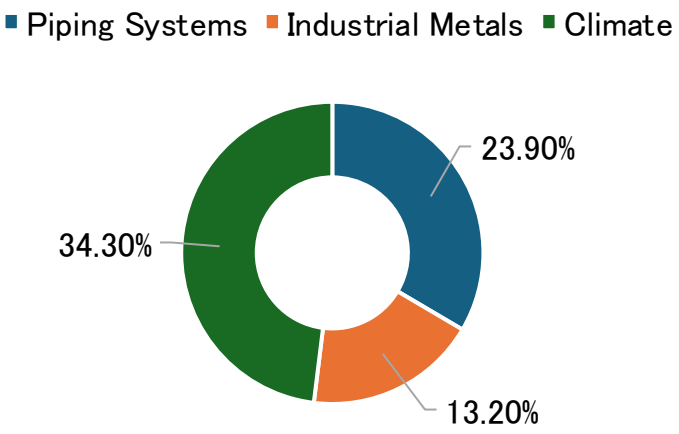


Industrial Metals

Products: Rod, bar, wire, cable, and a variety of industrial products

- **Markets Served:** Transportation, heavy equipment, construction
- **2023 Revenue:** $578 Million

Operating Margin



Climates

Products: Insulated Ducts, line sets, valves, and other HVACR products

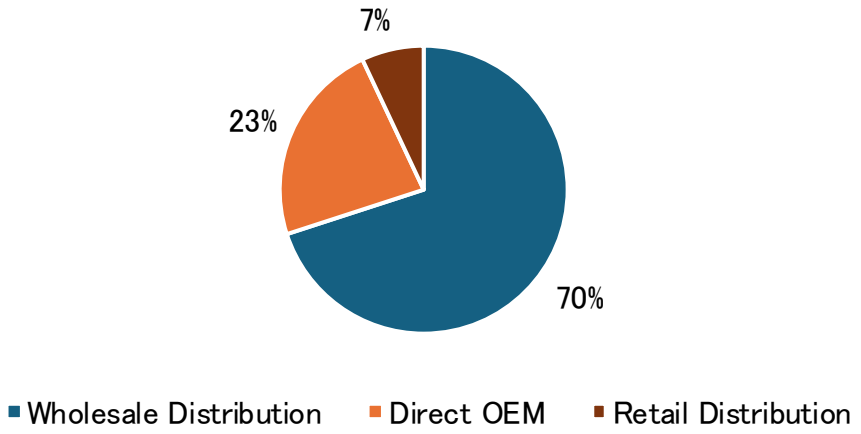
- **Markets Served:** Heating, Refrigeration, and Ventilation
- **2023 Revenue:** $501 Million

Source: Bloomberg Terminals; Mueller Investor Relations

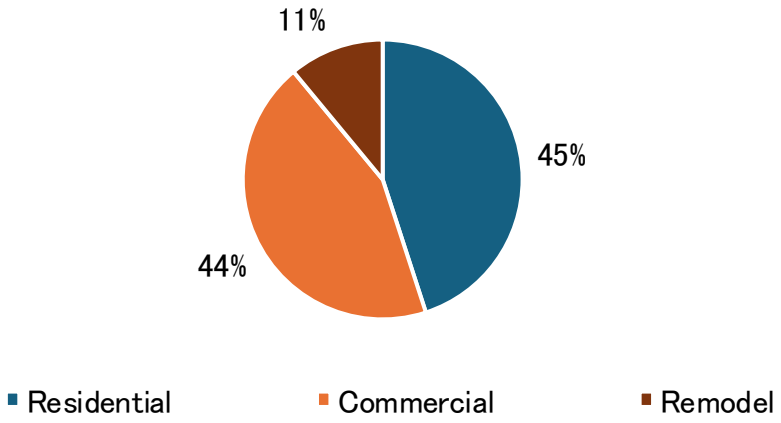
Business Overview

Market Exposure

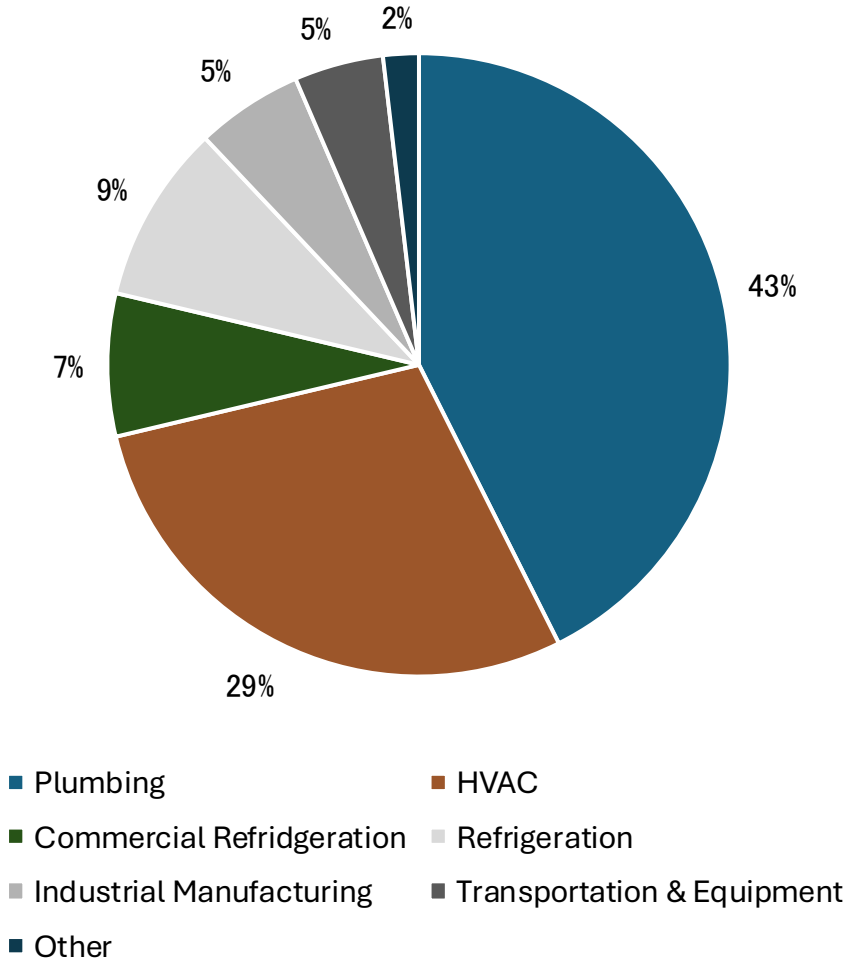
Building Construction Sales by Channel



Building Construction Sales by Sector



Net Sales by End Market (3.4B USD)



Source: Mueller Investor Relations

Business Overview

Project Announcements and Product Advancements

Advanced Manufacturing Facilities

Mueller recently invested in modernizing its production facilities, including building a state-of-the-art brass foundry in *Decatur, Illinois*.

- Focuses on using silicon-based brass alloys
- Provide more sustainable alternative to traditional materials
- Increases production capacity and reduces cost in operations

Echologics and Mi.Net Systems

Mueller has been integrating smart technology solutions, such as their *Echologics* and *Mi.Net* systems

ECHOLOGICS®
a MUELLER brand

- Offers advanced leak detection, data logging, and condition assessment of water infrastructure
- Improves their water management and infrastructure maintenance through data-driven insights

Product Advancements

Mueller has made several product advancements to improve the performance, efficiency, and sustainability of its offerings

- Includes automatic flushing systems designed to maintain water quality in distribution networks
- Systems automatically flush out stagnant water, reducing risk of contaminants and improving quality of the water

HYMAX®
a MUELLER brand

- HYMAX product line is known for its repair and connection products
- products are designed to withstand high pressure and offer easier installation
- valuable for emergency repairs in water distribution systems

Source: Mueller Industries Websites

Business Overview

MLI has strong cash reserves and is deploying it effectively to accretive acquisitions

Recent Mergers and Acquisitions

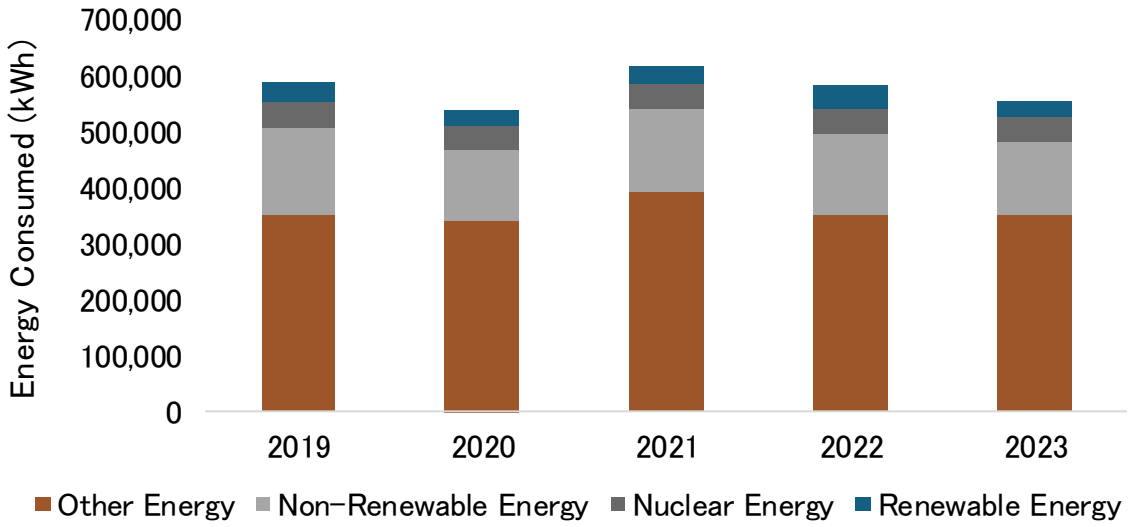
NEHRING ELECTRICAL WORKS COMPANY

- April 22, 2024, Mueller acquires Nehring Electrical Works
- Largest acquisition to date ($575 million)
- Operates under three business Units: Nehring, Connex Cable, and Unified Wire & Cable
- Net Sales of $400 million (2023)
- Reflects immediate deployment of recently high capital

Elkhart Products Corporation | EPC

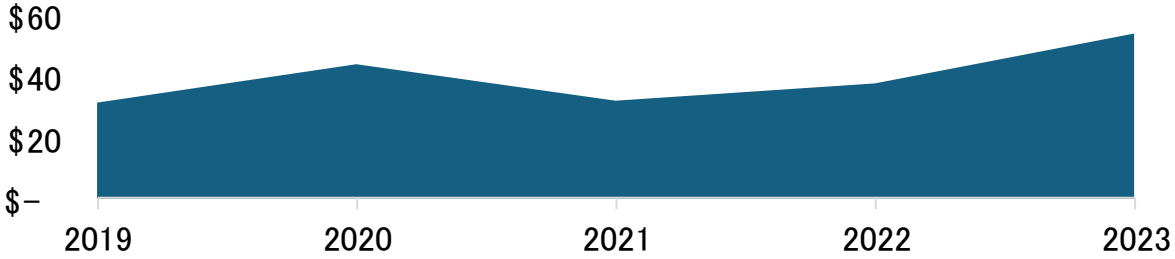
- August 8, 2024, Mueller acquires Elkhart Production Corporation (EPC)
- Manufactures copper products, complimenting Muellers product segments
- Will help the recovery of Muellers manufacturing plant in Covington, Tennessee, which was hit by a tornado
- 180 Million in Revenue (2023)

Sustainability Initiative: Energy Consumption Reduction



Acquisition of Fixed and Tangible Assets Growth (In Millions)

Muellers reinvestments into manufacturing machinery, increasing efficiencies, automation, and production



Source: Mueller Investor Relations; Zippia; Bloomberg

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Competitive Positioning

Peer Analysis

A.O. Smith	Mkt. Cap: 10,574M Industry: Building Products Px: $88.15	A.O. Smith Corporation manufactures residential and commercial water heating and water treatment equipment.
Fortune Brands Innovations	Mkt. Cap: 10,768M Industry: Building Products Px: $86.76	Fortune Brands Innovations, Inc. provides home and security products. The Company offers kitchen and bath cabinetry, plumbing, and pipe products.
RBC Bearings	Mkt. Cap: 8,382M Industry: Building Products Px: $288.84	RBC Bearings Incorporated designs, manufactures, and markets bearing products, including copper products.
HILLMAN	Mkt. Cap: 1,952M Industry: Industrial Machinery Px: $9.95	Hillman Solutions is an American hardware manufacturing, distribution and consumer fabrication services company.
Mueller Industries	Mkt. Cap: 8,254M Industry: Industrial Machinery Px: $72.84	Mueller Industries, Inc. manufactures and sells brass, copper, and aluminum products.

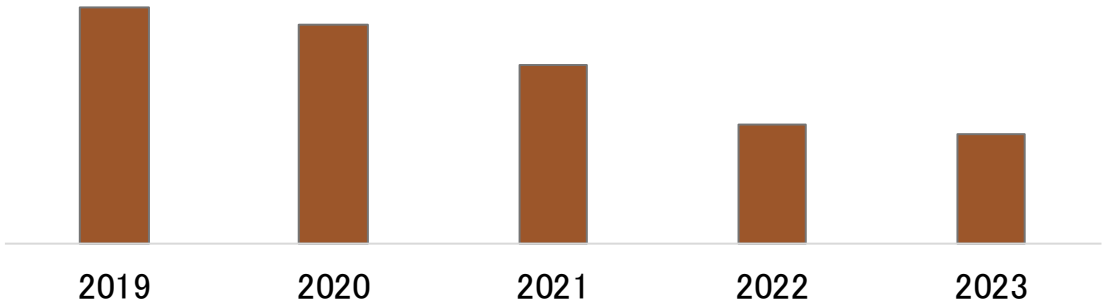
Source: Bloomberg

Competitive Positioning

MUELLER INDUSTRIES

MLI boast high efficiency and a large market share of their products

COGS/Net Sales



Measures the proportion of a company's revenue that is being spent on producing its goods, giving insights into production efficiency.

Market Share by Product Segment

Pipping Systems: 20–25%

Industrials Metals: 10–15%

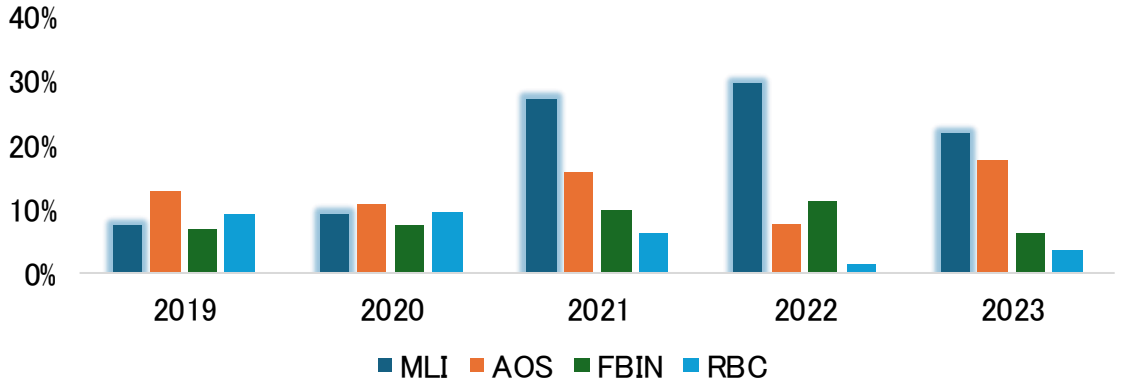
Climate: 15–20%

Even in a highly competitive market, Mueller Industries still holds a large percent of market share

Peer Efficiency Metrics Against Mueller Industries

Peers	MLI	RBC	FBIN	AOS	HLMN
DSO	38.95	57.72	41.54	55.76	23.48
Sales Per Employee	$758.6	$294.3	$395.4	$321.0	$388.4
Cash Conversion Cyle	81.83	253.48	108.55	38.63	146.39
Inventory Turnover	5.6	1.4	2.8	4.6	1.9

Return on Assets Growth Against Peers



Source: Bloomberg; Mueller Investor Relations; Note: Sales Per Employee in Thousands

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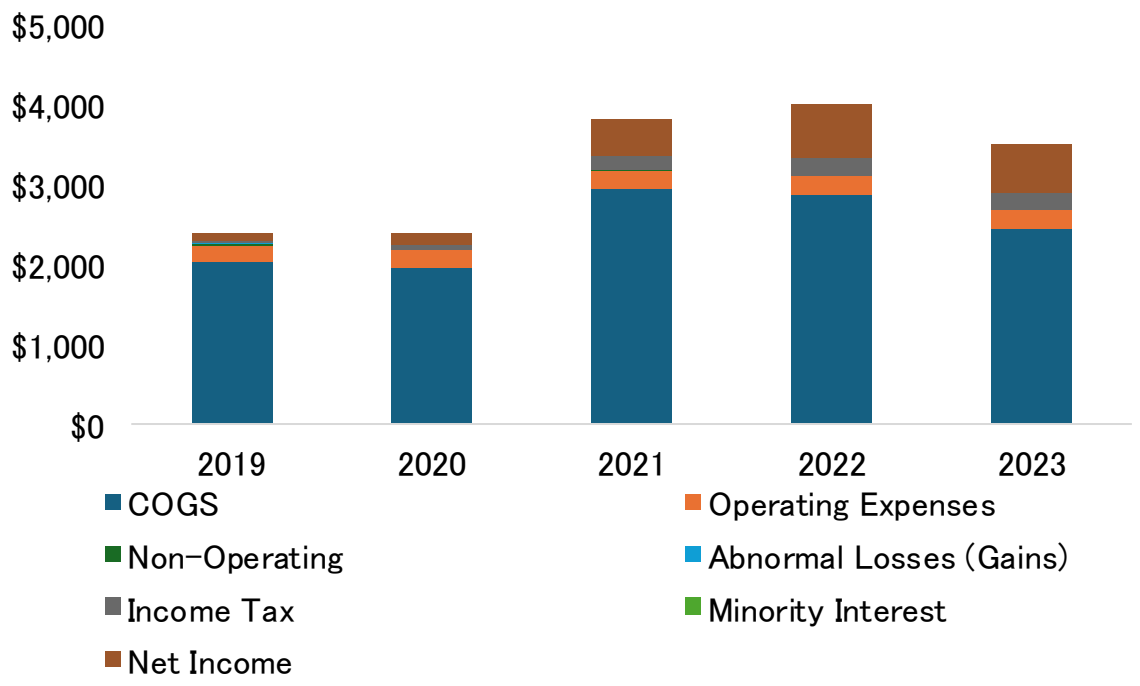
Financial Analysis

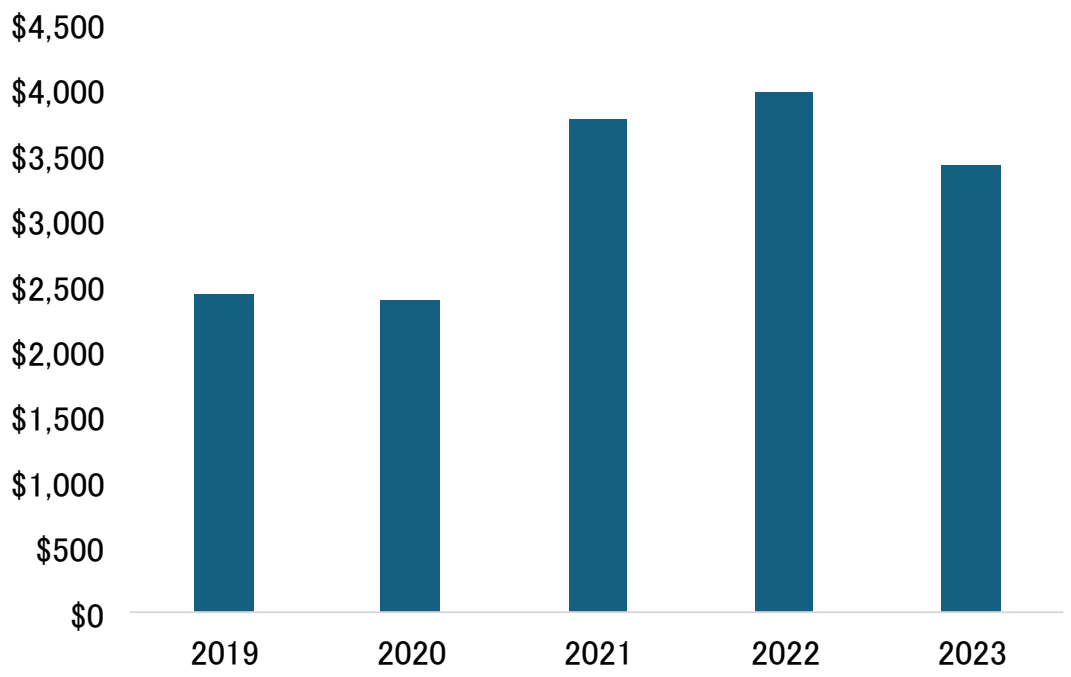
Structure analysis and historical revenue growth of Mueller

Cost Structure (In Millions)



- Mueller's saw a decrease in COGS in 2023, which can be attributed to the decrease in sales volume
- Even with a decrease in sales volume (15%), net income only decreased by 8%, showing operational efficiencies.

Historical Revenue Growth (In Millions)



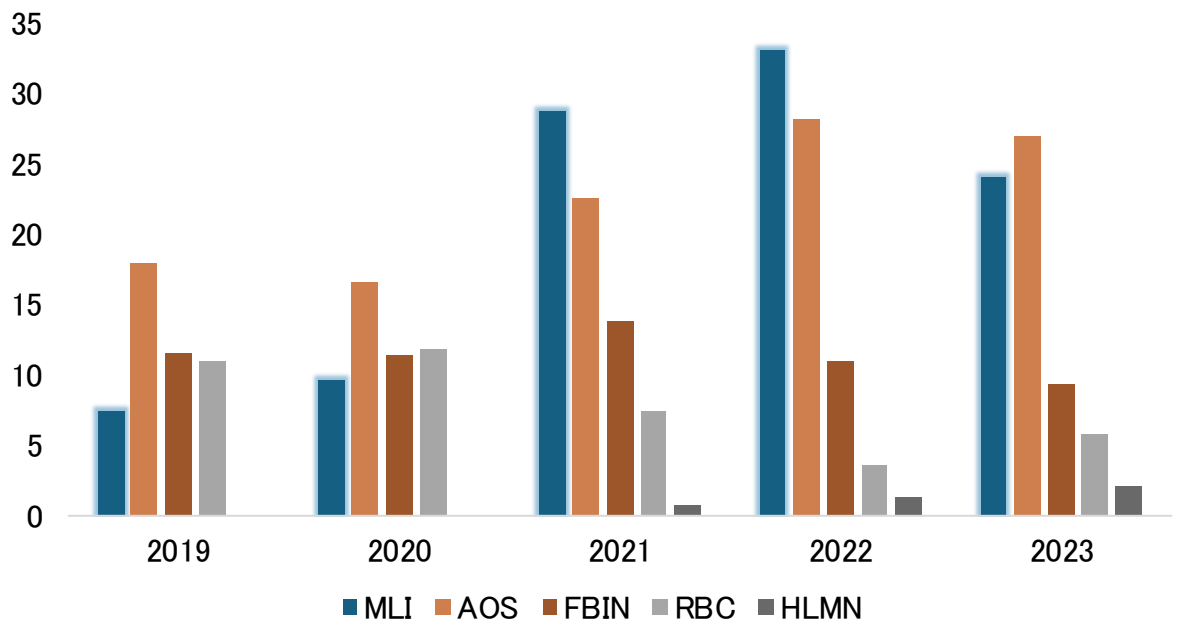
- Mueller's saw a decrease in Revenue in 2023, which can be attributed to the decrease in sales volume from the manufacturing downturn and increasing copper costs
- Average CAGR of 8.92%

Source: Bloomberg; Mueller 10-K

Financial Analysis

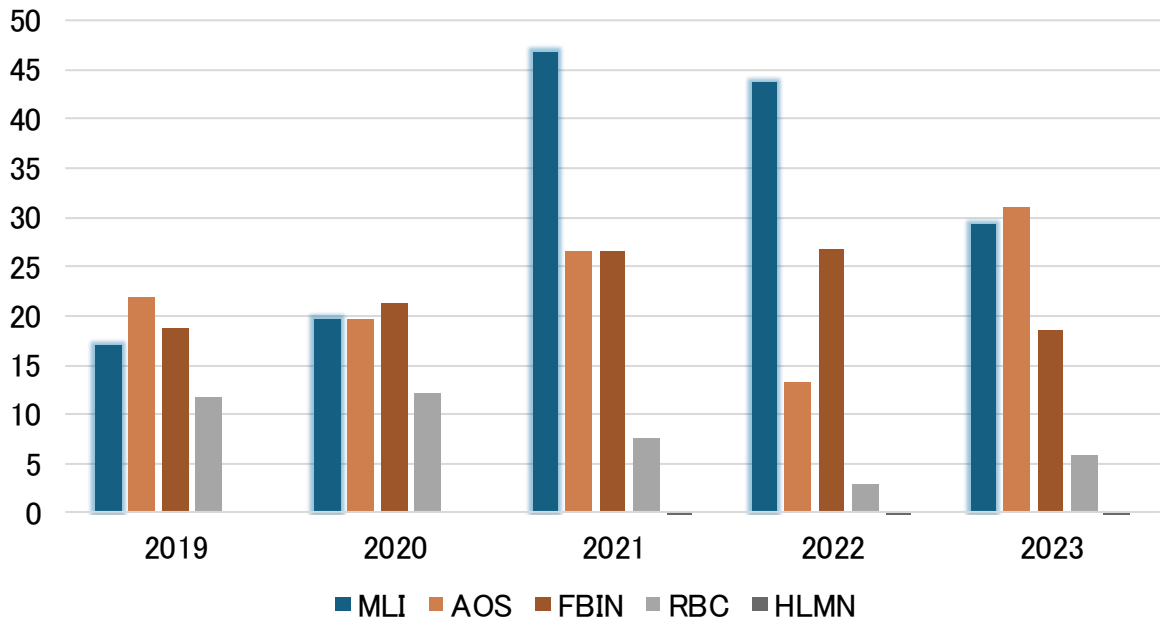
Returns Peer Analysis

ROIC Growth



- Mueller consistently outperforms peers in ROIC growth every year
- In 2023, A O Smith outperformed Mueller by 1.3%. Both companies ROIC fell between 2022-2023
- This can be attributed to the decrease in Mueller's EBIT in 2023, and an increase in Investing activities

ROE Growth



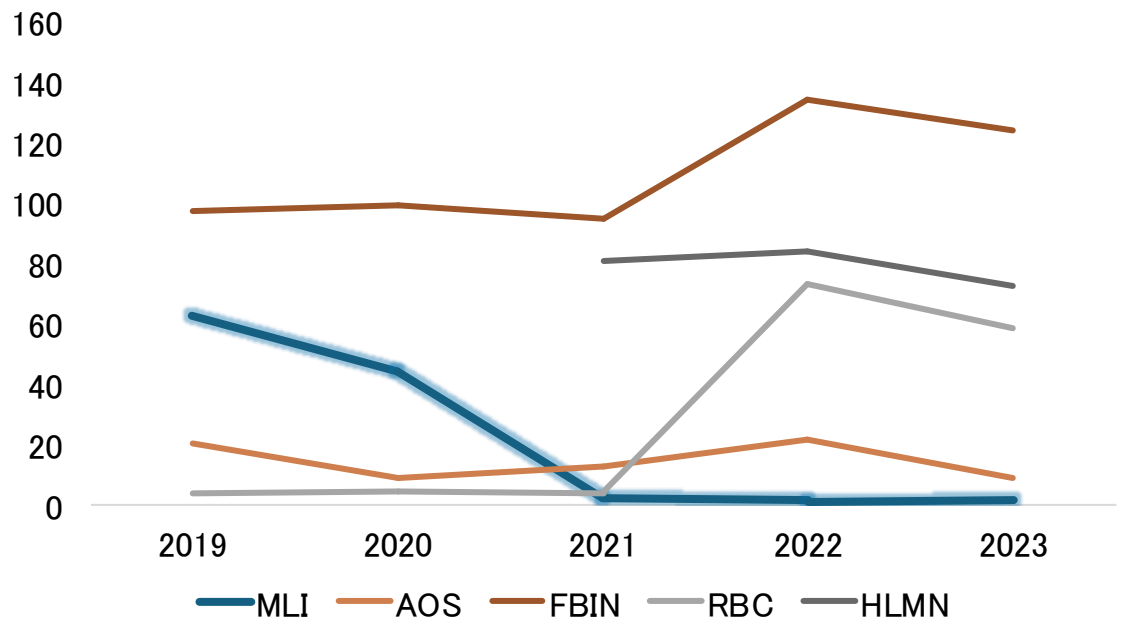
- Mueller saw immense growth in 2021 due to the large increase in net income from 2020
- In 2023, A O Smith Outperformed Mueller by 1.78%
- This can be attributed to the decrease in net income and overcapitalization (cash). Mueller has already started depleted their cash reserves and is committing to their reinvestment activities.

Source: Bloomberg; Mueller Investor Relations; Note: Values in Percents

Financial Analysis

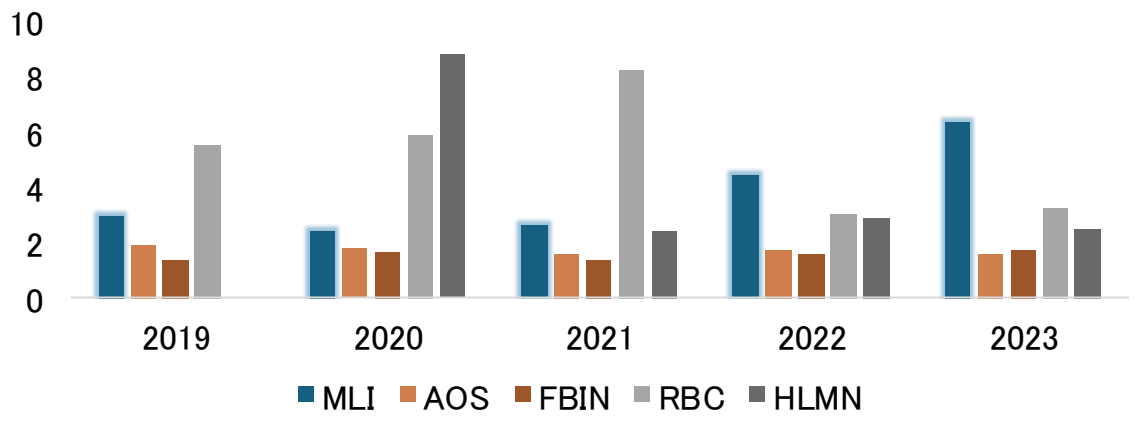
Liquidity Peer Analysis

Debt/Equity

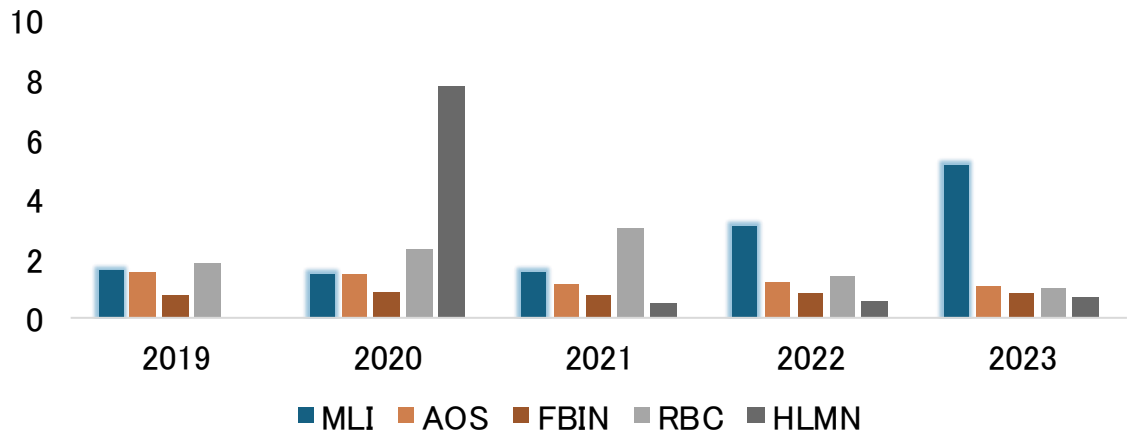


- Mueller's current **Debt/Equity is 1.5**
- While this means they are less averse to defaulting on their debt, this could also be a sign of inefficient Capital Deployment
- As outlined in the prior slides, Mueller is deploying more capital into reinvesting activities and acquisitions. Mueller continues to invest in their growth throughout 2024

Current Ratio



Quick Ratio

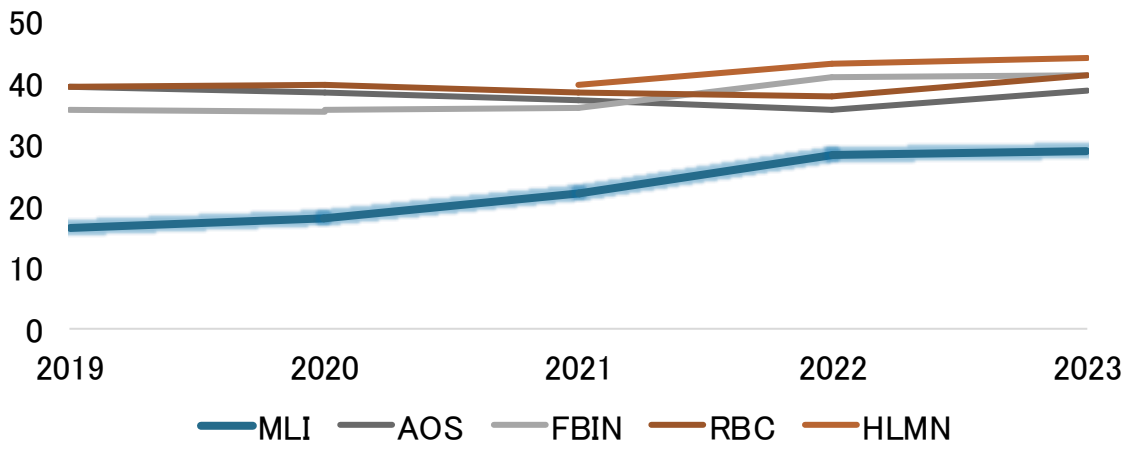


Source: Bloomberg; Note: Debt to Equity Values in Percents

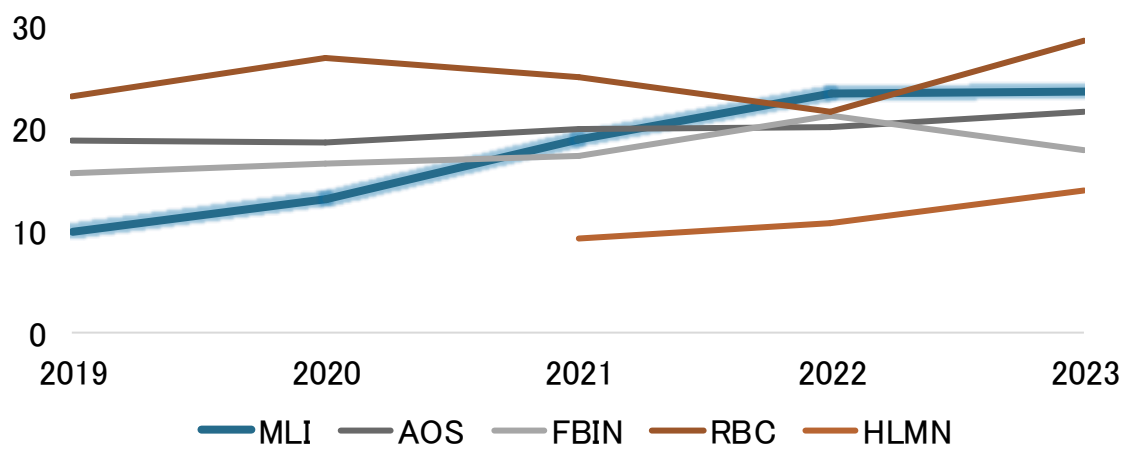
Financial Analysis

Margins Peer Analysis

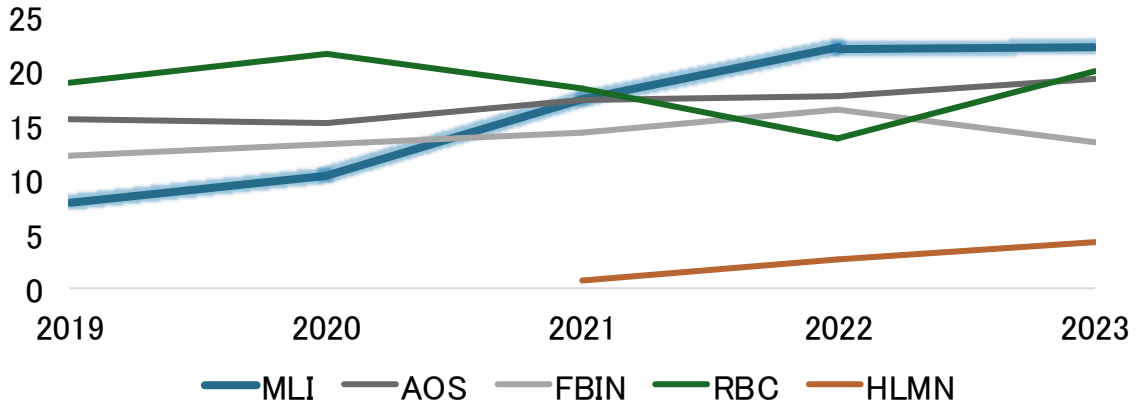
Gross Margin



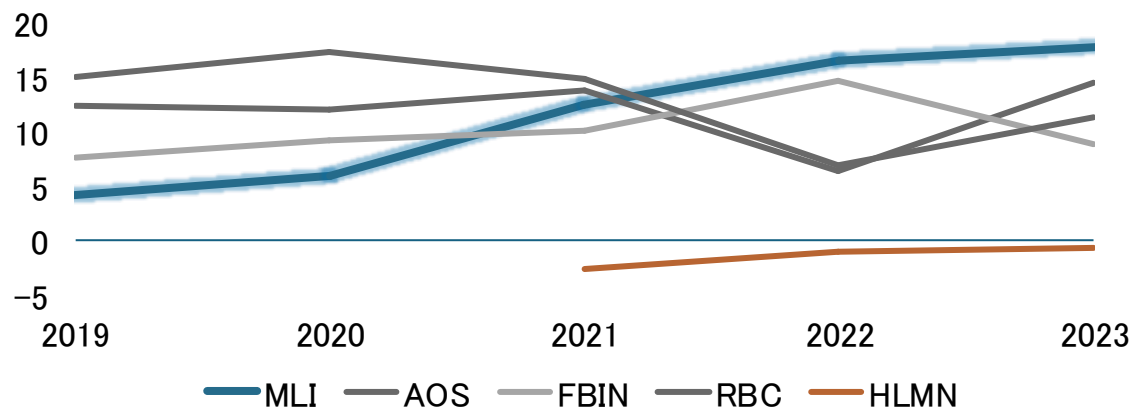
EBITDA Margin



Operating Margin



Net Income Margin

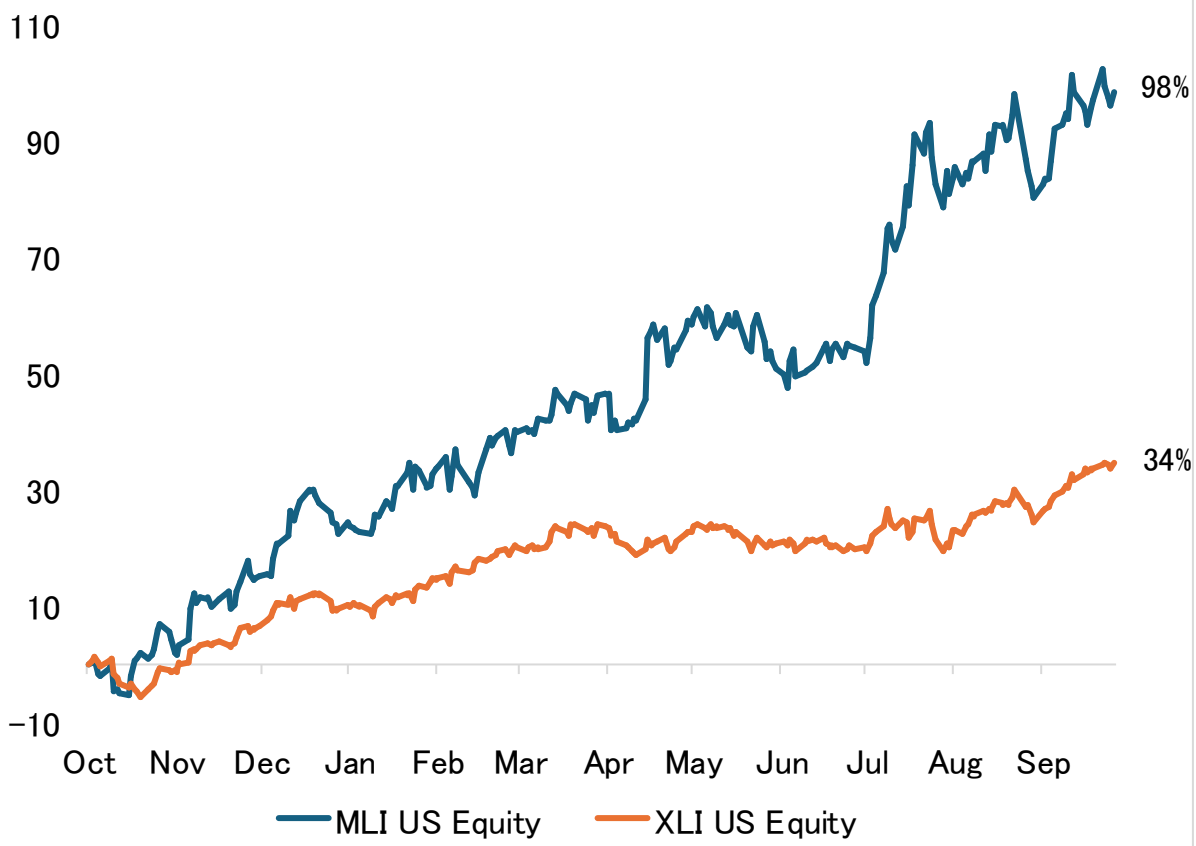


Source: Bloomberg; Mueller Investor Relations; Note: Values in Percents

Financial Analysis

3-Step DuPont Analysis

MLI Against XLI 1 Year Returns (%)



3-Step DuPont Analysis

	2019	2020	2021	2022	2023
ROE	**16.3%**	**19.5%**	**46.7%**	**43.8%**	**29.2%**
Profit Margin	4.0%	5.8%	12.4%	16.5%	17.6%
Asset Turnover	1.77	1.65	2.31	2.01	1.37
Equity Multiplier	2.30	2.04	1.63	1.32	1.21

Source: Bloomberg

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Valuations

Multiples Valuation	P/E	EV/EBIDTA	EV/EBIT	Weighted Price
MUELLER INDUSTRIES	14.75x	9.54x	10.96x	$111.75
AO Smith	22.27x	15.26x	16.46x	$102.30
Fortune Brands Innovations	24.72x	13.78x	17.85x	$118.57
RBC BEARINGS	41.10x	18.84x	22.96x	$351.48
HILLMAN	78.41x	11.81x	26.88x	$12.86
Median:	24.92x	13.78x	17.85x	

Source: Bloomberg; Note: Weighted Price is per share

Valuations

MUELLER INDUSTRIES

DCF Valuation

Unlevered Free Cash Flow	2019A	2020A	2021A	2022A	2023A	2024F	2025F	2026F	2027F	2028F
Unlevered Free Cash Flow	226.72	216.24	381.45	773.24	689.75	617.27	693.78	830.12	890.10	874.01
Projection Year						1	2	3	4	5
Discount Year						91%	82%	75%	68%	62%
Present Value of Future Cash Flows						**560.40**	**571.83**	**621.16**	**604.68**	**539.04**

Intrinsic Share Price Calculation	
Sum of Present Value of FCFs	$2,897
Growth Rate	2.00%
WACC	10.15%
Terminal Value	$10,939
Present Value of Terminal Value	$6,747
Enterprise Value	$9,644
Cash	$1,171
Debt	$36
Minority Interest	$ 21.27
Equity Value	$10,799
Diluted Shares Outstanding	$113
Current Price	$ 72.84
Implied Share Price	**$95.29**
Upside/Downside	31%

WACC	
Capital Structure	
MUELLER INDUSTRIES, INC. (XNYS:MLI)	
Capital Structure	
Equity	$ 8,068.68
Debt	$35.6
Debt	
Cost of Debt	**4.24%**
Tax	**21.00%**
Weight of Debt	**0.44%**
After Tax Cost of Debt	**3.35%**
Equity	
US Treasury 10Y	4.02%
Expected Market Return	**10.00%**
Market Risk Premium	5.98%
Adjusted Beta	**1.03**
Weight of Equity	100%
Cost of Equity	**10.18%**
WACC	**10.15%**

Bull					
$97.90	2.00%	2.50%	**3.00%**	3.50%	4.00%
11.16%	$85.67	$88.86	$ 92.43	$ 96.47	$101.07
10.91%	$87.85	$91.25	$ 95.08	$ 99.43	$104.40
10.66%	$90.15	$93.79	**$ 97.90**	$102.59	$107.98
10.41%	$92.59	$96.49	$ 100.92	$105.99	$111.84
10.16%	$95.18	$99.37	$ 104.14	$109.63	$116.02

Base					
$95.29	1.00%	1.50%	**2.00%**	2.50%	3.00%
10.65%	$84.08	$87.00	$ 90.25	$ 93.89	$ 98.02
10.40%	$86.12	$89.22	$ 92.69	$ 96.60	$101.04
10.15%	$88.26	$91.57	**$ 95.29**	$ 99.49	$104.28
9.90%	$90.53	$94.06	$ 98.05	$102.57	$107.75
9.65%	$92.92	$96.71	$ 100.99	$105.86	$111.48

Bear					
$90.62	0.00%	0.50%	**1.00%**	1.50%	2.00%
10.39%	$80.87	$83.40	$ 86.20	$ 89.31	$ 92.79
10.14%	$82.69	$85.37	$ 88.35	$ 91.67	$ 95.39
9.89%	$84.60	$87.45	**$ 90.62**	$ 94.16	$ 98.16
9.64%	$86.61	$89.64	$ 93.02	$ 96.82	$101.11
9.39%	$88.73	$91.96	$ 95.57	$ 99.64	$104.26

Source: Bloomberg; Note: Weighted Price is per share

Executive Summary

Investment Pitch – BUY

Economic Tailwinds Supporting Manufacturing

Greater Financial Efficiencies Against Peers

Strong Cashflow and Attractive Valuation Metrics

Target Price:
$104.20
Upside: 43.1%

MUELLER INDUSTRIES

Q&A

Mamadou Kane	Tyler Cooper	Brady Wilder
Analyst	Portfolio Manager	Analyst

October 2024

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- Highly skilled management team with extensive industry expertise -

Gregory Christopher	Chairman of the Board, CEO	• 31 years company experience • 34 years industry experience
Jeffrey Martin	EVP, CFO	• 27 years company experience • 27 years industry experience
Christopher Miritello	EVP, General Counsel	• 8 years company experience • 8 years industry experience
Steffen Sigloch	Chief Manufacturing Officer	• 12 years company experience • 34 years industry experience
Gary Westermeyer	President, Refrigeration	• 21 years company experience (1) • 33 years industry experience
Christopher Mitchell	President, Brass & Aluminum	• 13 years company experience (1) • 13 years industry experience
Mark Millerchip	Director, European Operations	• 28 years company experience (1) • 30 years industry experience
Devin Malone	President, Streamline	• 18 years company experience • 18 years industry experience
Kristee Ford	President, BK Products	• 5 years company experience • 19 years industry experience
Mark Kirby	President, ATCO	• 5 years company experience • 47 years industry experience
Dino Sciullo	Vice President, Brass Value-Add	• 21 years company experience (1) • 21 years industry experience

Valuations

DDM Valuation

Dividend Discount Model (DDM)

($ in millions, except per share data)

Two-Stage Model Assumptions		
Dividends Per Share (DPS) – Current Period		$0.60
Cost of Equity (Ke)		9.7%
	Stage 1	**Stage 2**
Dividend Growth Rate (g):	45.0%	4.0%

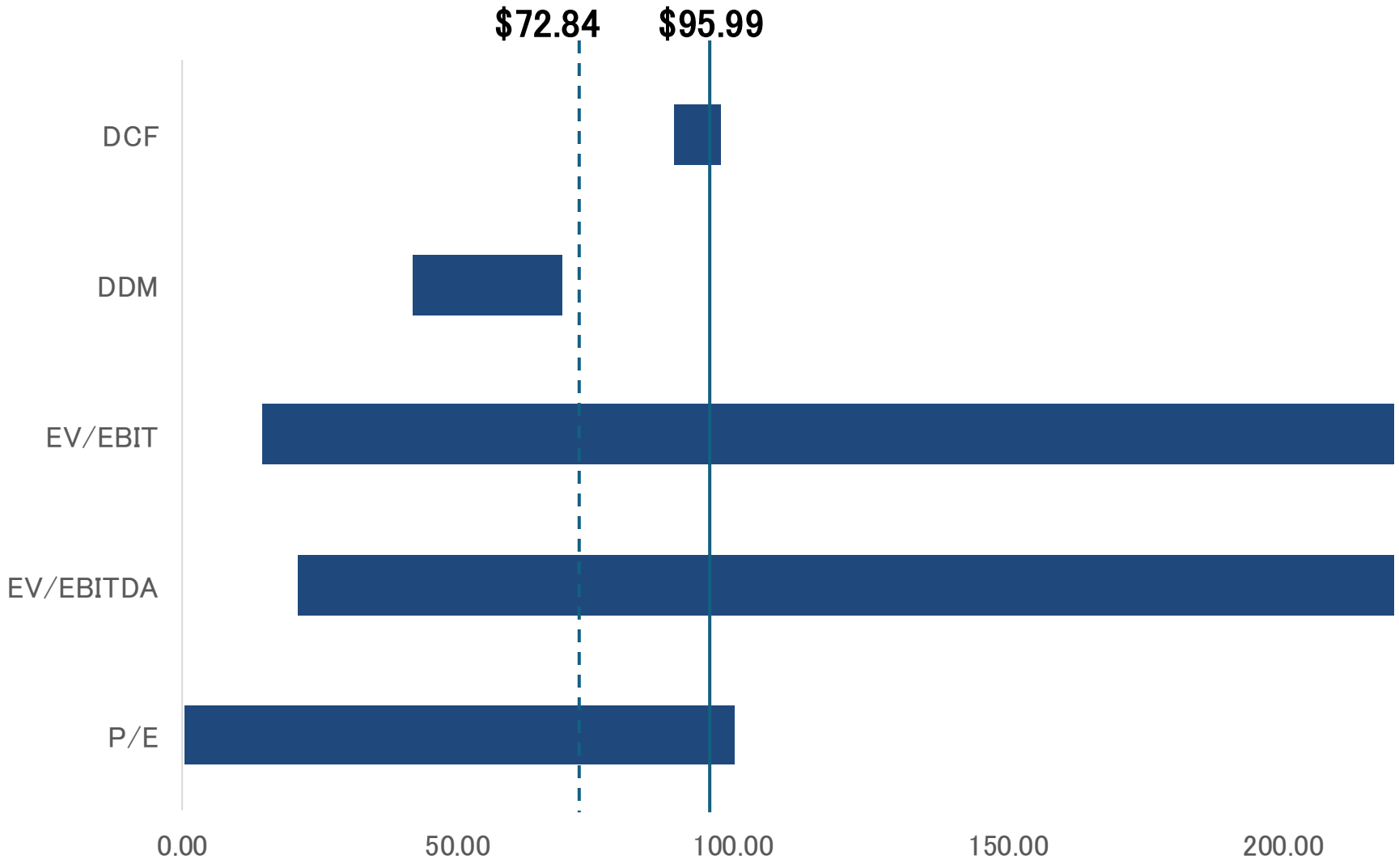
		Stage 1				
Stage 1 Dividends	**Year 0**	**Year 1**	**Year 2**	**Year 3**	**Year 4**	**Year 5**
Dividends Per Share (DPS)	$0.60	$0.87	$1.26	$1.83	$2.65	$3.85
Cost of Equity (Ke)	9.7%	9.7%	9.7%	9.7%	9.7%	9.7%
Present Value (PV) of Dividend	**$0.60**	**$0.79**	**$1.05**	**$1.39**	**$1.83**	**$2.42**

Share Price Calculation	
PV of Sum of Stage 1 Dividends	$7.48
Year 5 Dividend × (1 + Stage 2 Growth Rate)	$4.00
Stage 2 Terminal Value	$70.17
PV of Stage 2 Terminal Value	$44.17
Value Per Share ($)	**$51.65**

Note: Stage 1 Growth Rate calculated using 3-year growth.

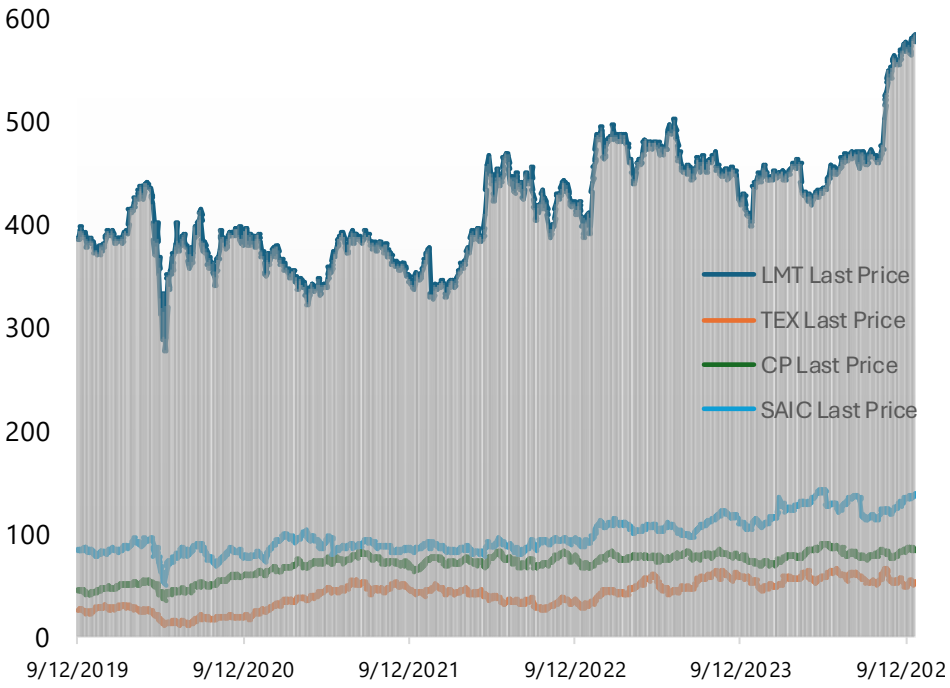
Valuations

Football Field Analysis

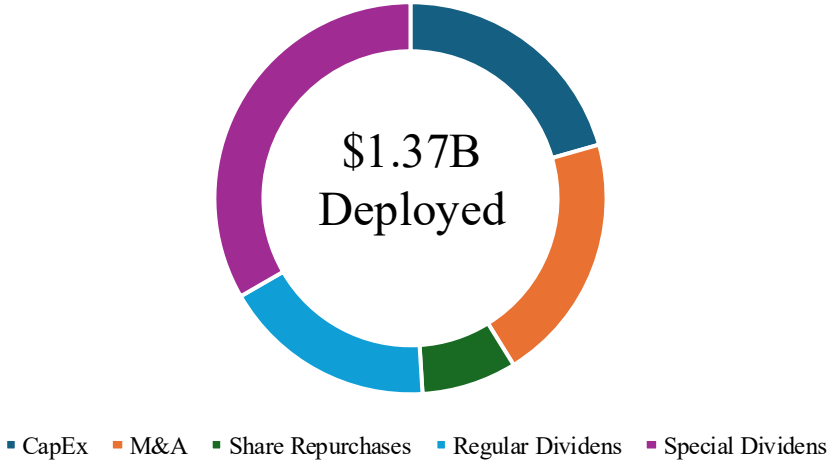


Appendix

Holdings Performance (5-Years)

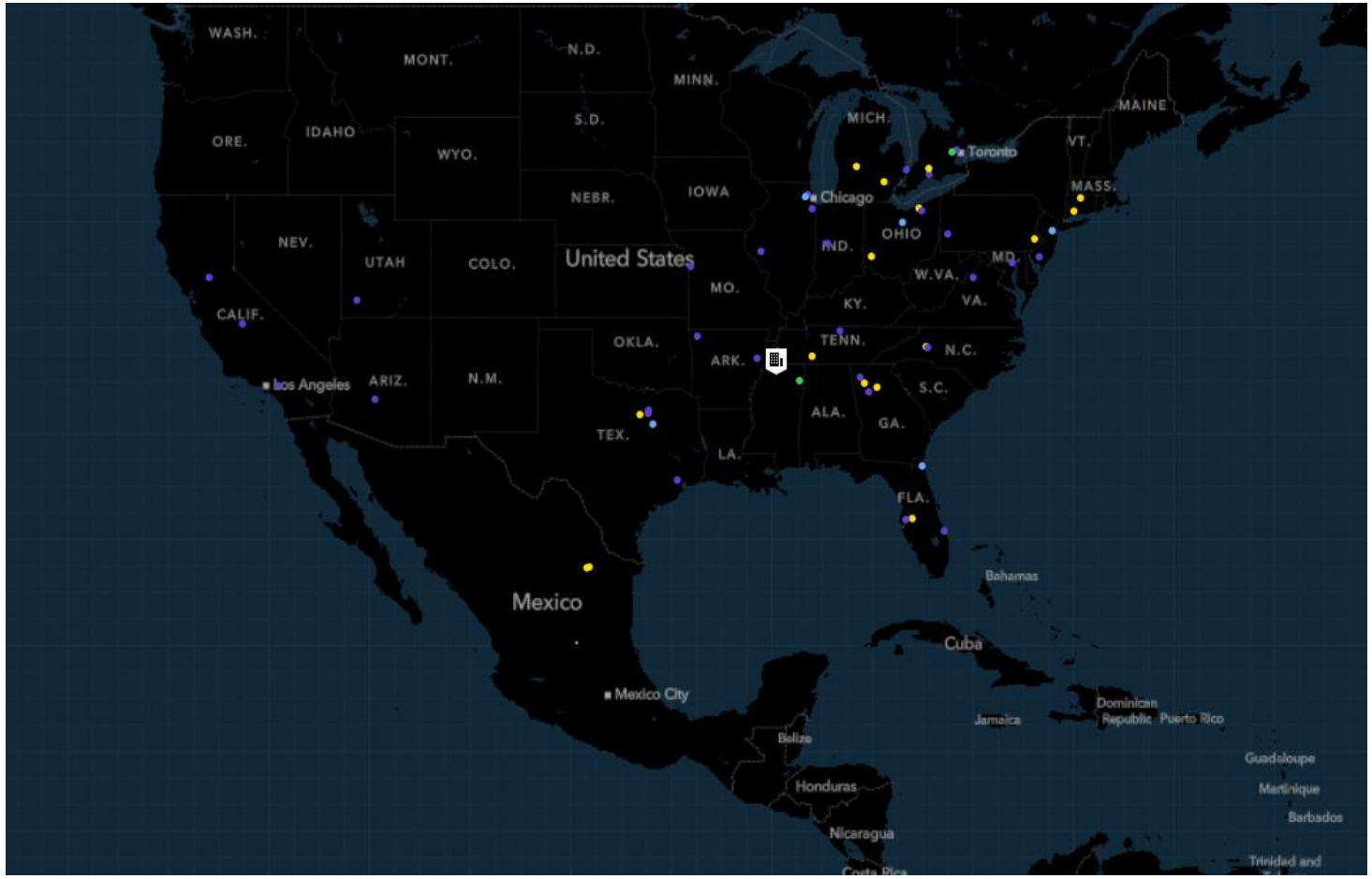


Capital Deployment



Note: For the 7 years ended 2023

Mueller also gets the majority of copper from Fulton, Mississippi



Investment Thesis

Stock Profile

Sector: Industrials

Industry: Metal Fabrication

Market Cap: 8,270.4M

Shares Outstanding: 113M

Current Share Price: $72.98

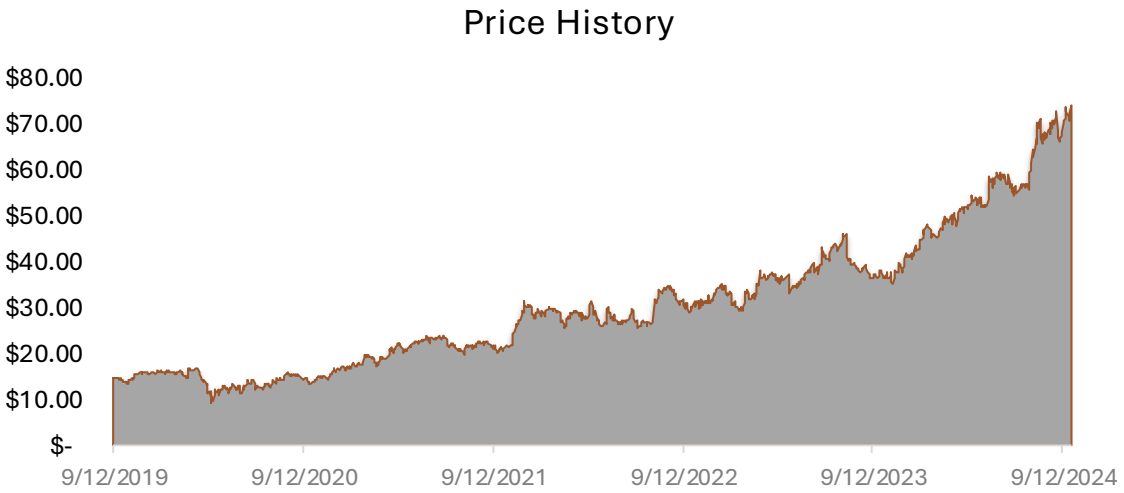
Beta vs SPX: 0.94

ROE: 23.6%

ROC: 23.5%

Company Brief

Mueller Industries, Inc. manufactures and sells brass, copper, and aluminum . The Company's products include copper tube and fittings, brass and copper alloy rods and bars, aluminum and brass forgings, aluminum and copper impact extrusions, plastic fittings and valves, refrigeration valves and fittings, and fabricated tubular products



Mueller Revenue Segments By Region

United States	**76%**
Canada	**10%**
EMEA	**8%**
Other	**6%**

Unlevered FCF

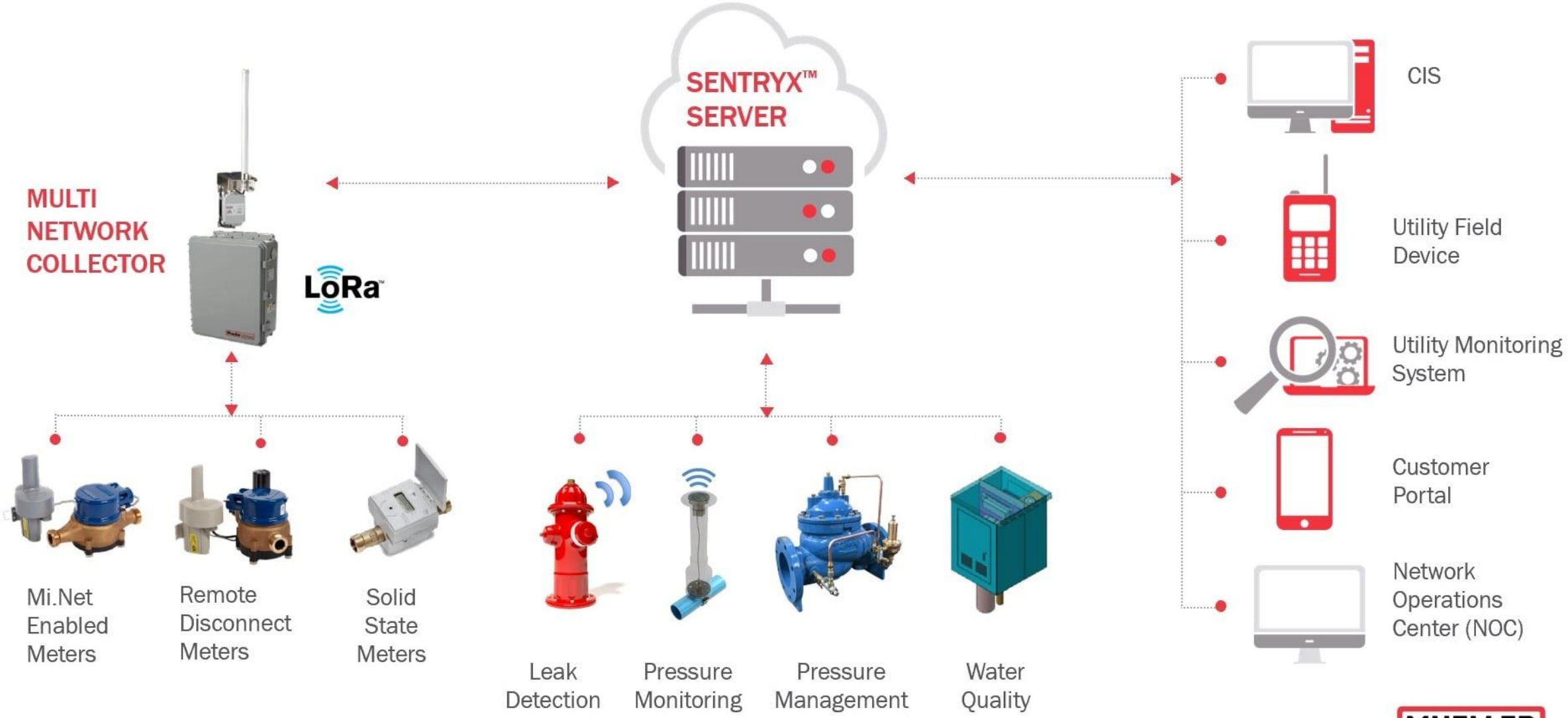
In Millions of USD except Per Share	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024 Est	FY 2025st	FY 2026 E	FY 2027 Est	FY 2028 Est
12 Months Ending	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/31/2028
EBIT	194.1	227.6	600.9	870.8	738.7	773.1	881.1	1,046.6	1,103.4	1,095.3
- Income Tax Expense (Benefit)	35.3	55.3	165.9	223.3	220.8	140.7	169.3	199.2	218.6	221.4
NOPAT	152.87	167.38	445.46	648.79	545.77	632.39	711.76	847.47	884.80	873.83
+ Depreciation & Amortization	42.7	44.8	45.4	43.7	40.0	47.2	46.6	45.7	45.2	45.2
Capital Expenditures	31.2	43.9	31.8	37.6	54.0	44.7	43.5	45.7	47.3	45.3
Change in NWC	0.0	39.9	141.2	(43.1)	(50.0)	17.6	21.1	17.4	(7.4)	(0.3)
Unlevered Free Cash Flow	**226.72**	**216.24**	**381.45**	**773.24**	**689.75**	**617.27**	**693.78**	**830.12**	**890.10**	**874.01**

Net Working Capital

In Millions of USD except Per Share	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024 Est	FY 2025st	FY 2026 Est	FY 2027 Est	FY 2028 Est
12 Months Ending	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/31/2028
+ Accounts & Notes Receiv	269.9	357.5	471.9	380.4	351.6	415.2	448.4	488.2	494.5	504.5
+ Inventories	292.1	315.0	430.2	448.0	380.0	390.9	416.2	433.6	464.0	488.9
+ Other ST Assets	33.8	33.8	29.0	26.5	39.2	40.7	44.0	47.5	50.4	52.4
Current Assets	**595.8**	**706.3**	**931.0**	**854.9**	**770.7**	**846.9**	**908.7**	**969.4**	**1008.9**	**1045.8**
+ Payables & Accruals	127.3	194.0	230.4	189.9	176.1	191.1	210.5	209.4	219.4	236.0
+ Other ST Liabilities	94.2	98.1	145.2	152.6	132.3	137.6	148.6	160.5	170.1	176.9
Current Liabilities	**221.5**	**292.1**	**375.6**	**342.5**	**308.4**	**328.7**	**359.1**	**369.9**	**389.5**	**412.9**
Net Working Capital	**374.3**	**414.2**	**555.4**	**512.3**	**462.3**	518.2	549.5	599.5	619.3	632.9
Change in Net Working Capital	**0**	**39.9**	**141.2**	**-43.1**	**-50.0**	55.9	31.4	50.0	19.8	13.6

In Millions of USD except Per Share	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024 Est	FY 2025st	FY 2026 Est	FY 2027 Est	FY 2028 Est
12 Months Ending	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/31/2028
Beg. PP&E	891.1	922.2	968.5	987.6	998.8	1037.1	1034.6	1031.5	1031.5	1033.6
+ Depreciation & Amortization	42.7	44.8	45.4	43.7	40.0	47.2	46.6	45.7	45.2	45.2
Capital Expenditures	**31.2**	**43.9**	**31.8**	**37.6**	**54.0**	**44.75**	**43.49**	**45.73**	**47.34**	**45.33**
Ending PP&E	922.2	968.5	987.6	998.8	1,037.1	1,034.6	1,031.5	1,031.5	1033.6	1,033.7
- Accumulated Depreciation	532.2	562.6	578.5	596.0	616.8	640.0	664.0	689.0	715.0	741.9
% growth		6%	3%	3%	3%	4%	4%	4%	4%	4%
Net PP&E	390.1	405.9	409.1	402.8	420.3	394.7	367.4	342.4	318.6	291.8

Mueller® Smart Water Infrastructure Network



MUELLER

Executive Summary

Investment Pitch – BUY

- Current Economic Data Supporting Manufacturing
- Greater Financial Efficiencies Against Peers
- Strong Cashflow and Other Valuation Metrics

Target Price: $95.99
Upside: 31.7%